# Leela Palaces Hotels (THELEELA)

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# Call: Jul 2025

SCHLOSS BANGALORE LIMITED
(formerly known as Schloss Bangalore Private Limited)
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Ref No. : THELEELA/2025 -26/023
Date: July 29, 2025
To

Sr. General Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400001
Scrip Code - 544408
ISIN - INE0AQ201015 To

Sr. General Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Symbol - THELEELA
ISIN - INE0AQ201015

Sub : Transcript of the Analysts / Institutional Call

Dear Sir/ Madam,

In continuation to our letter dated July 17 , 202 5 and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Q1 FY26 Earnings Conference Call held on July 22 , 2025.

The above information will also be available on the website of the Company at www.theleela.com/investors .

Thia is for your information and record .

Thanking you,

For Schloss Bangalore Limited

______________________________
Jyoti Maheshwari
Company Secretary and Compliance Officer
Membership No.: A24469

Encl.: as Above



“Schloss Bangalore Limited ”
Q1 FY26 Earnings Conference Call
July 22, 2025

MANAGEMENT : MR. ANURAAG BHATNAGAR –WHOLE TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – SCHLOSS
BANGALORE LIMITED (FORMERLY KNOWN AS
‘SCHLOSS BANGALORE PRIVATE LIMITED ’)

MR. RAVI SHANKAR – HEAD-ASSET MANAGEMENT
AND CHIEF FINANCIAL OFFICER – SCHLOSS
BANGALORE LIMITED (FORMERLY KNOWN AS
'SCHLOSS BANGALORE PRIVATE LIMITED ')

MR. ANKUR GUPTA – DEPUTY CHIEF INVESTMENT
OFFICER AND HEAD OF APAC & ME REGION , REAL
ESTATE – BROOKFIELD (SPONSOR )

MODERATOR : MR. DIWAKAR PINGLE – ERNST & YOUNG IR



Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY26 Earnings Conference Call hosted by Schloss Bangalore Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Diwakar Pingle from Ernst & Young IR. Thank you and over to you.

Diwakar Pingle: Thank you. Good evening, everyone and welcome to the Q1 results of Schloss Bangalore Limited, India's only pure play luxury hospitality company that operates The Leela Palaces, Hotels and Resorts. The company has published its results and have uploaded the Investor presentation on the exchanges earlier today and you can also find them on the website.

Before we start, a disclaimer. Some of the statements made in today's earnings call ma y be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management beliefs and assumptions made by information cu rrently available to the management. Audiences are cautioned not to place undue reliance on these forward -looking statements while making their investment decisions.

On that note, let me introduce you to the management participating with us in today's conference call. We have with us Mr. Anuraag Bhatnagar , Managing Director and CEO, and Mr. Ravi Shankar, Head -Asset Management, CFO. We also have on the call, on behalf of the sponsor, Brookfield, the Global Deputy CIO and Head of APAC and ME Region, Ankur Gupta.

Without further ado, I would like to hand over the call to Mr. Bhatnagar. Thank you and over to you, Anuraag .

Anuraag Bhatnagar: Hello, good evening, everyone and thank you for joining us in our first Global Earnings Call. I wanted to welcome you to this call with the service philosophy of Leela, which is rooted in Atithi Devo Bhava – Guest is God. This philosophy has made the Leela brand synonymous with Indian hospitality and the highest level of luxury.

Following our successful IPO on 2nd of June this year, we are delighted to share our first quarter results. We are pleased to report very strong performance, delivering our highest ever first quarter revenue , EBITDA and margins. Let me briefly walk you through the structure of today's call over the next 15 odd minutes.

I am joined in by CFO and Head of Asset Management, Ravi Shankar. We will begin with an overview of the company's value proposition, followed by a detailed report of the quarter's performance. We will then share with you our growth strategy for the future before opening the floor to questions.



The Leela Palaces Hotels and Resorts platform is truly a unique and special business. First, we have a proud legacy of a globally celebrated brand which has been built over the past four decades.

Second, we are the only listed player with a focus on the significantly underserved luxury segment in India.

Third, we own iconic properties which are in high barriers -to-entry markets. Our chain of 13 hotels, which is contracted to go to 21 hotels across luxury destinations in India, gives us an unmatched national network. Our differentiated asset management practices are such that we consistently deliver superior EBITDA m argins as high as 49.8% in FY25.

Last but not the least, post the IPO, we now have a strong balance sheet with 0.3x net debt to EBITDA, which positions us very well to execute on a robust pipeline. Taken together, all these five differentiators provide us with a platform to scale i

n a hig h growth luxury hospitality market.
I want to talk a little bit about the brand. The Leela brand has won not only national awards, but is recognized as the top three luxury brands in the world by prestigious institutions such as Travel and Leisure and Conde Nast International . The Leela brand strength and a focus on customer service excellence helps us achieve best in industry net promoter scores and command the highest RevPAR premiums in the industry.
Our net promoter score at 86 is 10 points higher than any other reported peer performance. Our RevPAR is nearly three times that of the overall Indian hospitality average. We believe this is a real moat in our business. As we look at the market opportunity, the Indian luxury market remains significantly underpenetrated. There are only 29,000 keys out of 170,000 branded keys in the country, which are categorized as luxury.
The market is underserved, and this gap is increasing. Whilst demand in this segment - the luxury segment - is projected to grow at around 11% CAGR , supply is only coming in at around 6%. As the only pure pay luxury player in this under -served market, Leela is uniquely placed to capitalize on this gap. Since 2020, the Leela platform has had a track record of delivering on growth.
We have delivered more than 15% CAGR in our RevPAR and have gone from 8 hotels to 13 hotels and added approximately 1,000 luxury keys. The growth ahead is also equally exciting with our s igned pipeline taking us to a chain of 21 luxury hotels with more than 4,500 keys.
Now I will hand over to our CFO and Head of Asset Management , Ravi to take us through the Q1 performance and balance sheet details.
Ravi Shankar: Thank you, Anuraag . Good evening, everyone. Post our IPO, we now have a strong balance sheet poised for growth with only INR227 crores of net debt on our books which translates to a 0.3x net debt to EBITDA. This positions us well to execute on our robust pipeline. Our ratings have also improved to AA stable.


Now we will deep dive into the Q1 financial and business highlight in more detail. We had a very strong quarter with a total income increased by 25% YOY to INR 301 crore s. EBITDA grew by 63% to INR 128 crores with margin expanding 980 basis point to 42.5%. Our best ever quarter performance. This strong performance despite the headwinds of the geopolitical tension and Operation Sindoor and is delivered on the back of our platform strength and the strong asset management focus o f the team.
We are also pleased to report that we are PAT positive for this quarter. Lower leverage and robust operating momentum supported a positive PAT quarter. We have grown from a loss of INR 75 crores in Q1 2025 to a profit of INR 8.7 crores. This turnaround was driven by two key factors : first, a INR 49 crore s boost from business momentum and EBITDA growth and a INR 33 crore s reduction in finance cost.
The revenue growth for our platform came on the back of both occupancy and ADR increase. While the occupancy increased by 4% from 59.7% to nearly 64%, the ADR has increased by 13%. This resulted in a RevPAR increase of 20%. The revenue growth has been delivered across segments. We had a double -digit growth upward of 15% or more in all our markets.
Leisure hotel s led growth , while metro demand continues to stay healthy. We have maintained or enhanced market share in all our cities. In terms of composition, retail continues to be our strength and a dominant segment contributing 55% of the total business. We delivered 17% growth in this segment on the back of our dynamic pricing and focus on direct sales channel which has always been o ur strength. Most importantly, our RevPAR growth has outpaced the industry.
According to STR, the Indian luxury hospitality segment is estimated to have grown at 10% where our RevPAR has grown by 20%. As w

e look at the revenue growth, F&B which is an
important pillar of our total RevPAR and a differentiator for the Leela platform , has grown at a healthy 16%. With nearly 39% of our revenue coming from F&B, we at Leela are very focused on constant innovation and market leadership in our F&B offering. Our HMA fees which are capital light have also grown at a healthy 20%.
In this quarter, we have three big operational updates. First, we have unveiled our new website which is a true reflection of luxury. With best practice on SEO optimization and website conversion, we have witnessed a 72% increase in revenue from website . Second, we have relaunched our fine dining restaurant The Qube in the Leela Palace New Delhi. We are proud to

report that we completed the renovation in 21 days in an operational hotel.
And third, we are ready to open doors to the new invite -only membership club proposition, The ARQ , in The Leela Palace Bengaluru . In terms of growth, the Leela platform has signed a definite agreement to expand into Mumbai 's commercial epicentre BKC with an owned hotel, The Leela Palace Mumbai with 250 keys. BKC has huge untapped demand for hospitality with no new hotel supply since 2011.


The market has only 39 keys per million square feet of office while Delhi has almost 6x and that at 230. We have secured this land at an attractive basis, and we will be leveraging partnership synergies with Brookfield such that it will provide deve lopment support to the project.
We have also completed starting acquisition of c.1.8 acres of land in Udaipur adjacent to our existing hotel, Leela Palace, which will allow us to expand with nearly 33 keys and add 10,000 square feet of banquet space. This will give us an advantage in targeting the luxury weddings and the MICE segment in Udaipur. We also continue to ramp up our capital light expansion into Hyderabad through a ramp -up of the hotel, the Leela Hyderabad in the Banjara Hills. Overall, as we look ahead, we are confident in del ivering a double -digit EBITDA growth in FY26.
The Leela platform has strong embedded growth on the back of four pillars. First is the same -store growth in our business. Second is our entry to new verticals. Third is the expansion of our own hotel through the development pipeline. And the fourth pillar is the expansion through HMAs. We are confident of delivering double -digit same -store growth in our existing market.
In the cities where we own hotels, there is a strong demand for luxury keys and virtually no upcoming supply till FY28. In addition, we consistently invest strategically behind asset enhancement with high ROI, such that we are able to command higher than a ny competitor in the segment. For example, we are investing in adding propositions such as family villas, kid clubs and state -of-the-art spas to attract more luxury family travellers to our hotels.
To supplement our same -store growth, we are also entering into strategic verticals. We will be launching the invite -only membership club offering ARQ , which will extend the Leela brand into the ultra -luxury and deliver high -margin growth, leveraging existing infrastructure and cost.
The ARQ is positioned to have 2,000 -plus paying members on stabilization.
We will have 5 club offerings across B engaluru , Chennai, Delhi, Mumbai over the next few years. We are also launching the Leela Luxury Residences starting with Mumbai, where we will be coming up with 60 -plus keys of ultra -luxury service apartments with a 22,000 -square -feet club offering. The expected launch of this project is FY27.
We believe there is strong potential for expansion into other urban metros, such as Pune, Bengaluru and NCR. In terms of the expansion of the owned hotels, we have a pipeline of 725 keys under development across leading luxury destinations, including Mumbai, Agra, Srina

gar,
Ranthambore, Bandhavgarh and Ayodhya. In addition, there is an active pipeline i ncluding in select international markets with a high share of India's tourist diaspora.
We also have a signed pipeline of 203 keys of capital -light expansion through HMA in Sikkim and Mumbai, with several discussions ongoing. As we look ahead, we are targeting to reach INR 2,000 crore s EBITDA by FY30. Our strategy is focused, our execution is precise and our vision is ambitious, and as we continue to set new benchmarks for true Indian luxury on the global stage. Now we can open the floor for questions.


Moderator: Thank you very much. We will now begin the question -and-answer session. We'll take our first question from the line of Aditya Mathur from Bank of America. Please go ahead.
Aditya Mathur: Hi. Firstly, thanks, Anuraag . Thanks, Ravi, for the detailed presentation. I had a question on the contracted pipeline. I see you have talked about the addition of the BKC hotel. Firstly, would it be possible to get some colour on the investment, the partnership structure that you talk about with Brookfield, timelines or any expectations you have on this one?
Ravi Shankar: So we are introducing the Leela Palace to Mumbai through a landmark 250 -key luxury hotel with a n ARQ club in the heart of BKC, one of the most underserved luxury hospitality market in India with no new hotel supply since 2011. And there's only 738 keys operational. This hotel is a 50 -50 JV between Brookfield and us. And the hotel, we are right now in the stage of design and concept development. And we'll come back with more details in the coming time.
Aditya Mathur: Sure, so this is how long would this be? Would it be like fo ur-five years or would it be longer?
Ravi Shankar: So we have already got the award right now and we are working on the design concept stage and

deciding the timeline for the construction.
Aditya Mathur: Sure, sure. So we'll wait for more details as and when you're ready. The second thing I just wanted to ask you about the RevPAR growth across the various properties. They all seem to be extremely strong, especially the leisure properties. Just wanted to check if there is any call out on the reasons for the same, particularly in, say, Jaipur and Udaipur, and how sustainable this is. Is there any base effect on any quarterly variation that one may need to be aware of?
Anuraag Bhatnagar: So hi. See the RevPAR growth, if you look typically the segment that we play in, if you look at historically, Leela has always been growing high double digit over the last five years on RevPAR . And we have a 40% premium on the index when it comes to RevPAR .
Specifically talking about our resorts in Udaipur and Jaipur that you spoke about. This particular quarter, there were some high value celebrations , There were certain events , there were certain delegations , and we have been working on a strategy to pivot towards FIT -led consumer growth .
We definitely believe that this RevPAR premium that we command, and this high double -digit growth that we have in RevPAR , not just in our resorts but across even our city hotels, is here to stay.
If you take a step back and just look at some macro indicators, India today is grossly underserved when it comes to luxury keys. Less than 18% of the total branded inventory is in luxury. And if you look at that in context of the high double -digit growth in demand of luxury consumers and very limited supply coming in, the markets that we operate in, this fundamental, there will be a delta of almost five to six percentage points in terms of demand versus supply.
So I definitely believe that this RevPAR growth is likely to stay. And we have also invested in a lot of digital investments, strengthened our sales and distribution network, and brought in revenue management practices to ensure that we capital

ize on this delta.



Aditya Mathur: Sure, sure. Thank you. Thank you, Anuraag . And if I can just squeeze in one more on the debt part of it. I think, Ravi, you mentioned the net debt number has come down quite substantially. Is there any range that you would like to keep this in? And what's the comfort on where this would be, let's say, by year end? Specifically for this year, if you could just throw some lights on any investments or capex that you've planne d for the current year for FY26?
Ravi Shankar: So starting with the question on the capex, this year we'll be investing around INR 400 crores of capex in the same store growth. That's basically on the value drivers where we are adding the Leela Club in Delhi, Bengaluru , and Chennai. We are adding 33 keys in Udaipur and 10,000 square feet of ballroom space, plus other value enhancement in different hotels, out of which we have already spent INR 100 crores .
Rest, INR 1,130 crores is on the contracted pipeline for the five hotels, which will be s pent in the next two and a half years. This year, if you look at our net debt to EBITDA, we have 0.3X . And even if we take into account our growth with a contracted pipeline, plus even the active pipeline that we have, our net debt to EBITDA in the next few years will be an average of 2.5X, a little up or down, and will taper down as we move forward. And this year will be a similar 0.3X net debt to EBITDA.
Aditya Mathur: Understood, even by y ear end. Got it understood. Thank you so much, and all the best to you guys.
Moderator: Thank you. Next question is from the line of Sr eetika Ray Mohapatra from JP Morgan. Please go ahead.
Sreetika Ray Mohapatra: Thank you for the initial remarks, and congratulations on a great set of numbers. I just wanted to, if possible, to provide an update on the progress of the upcoming asset s. What stages are they in? We understand that the expected launch will be in FY28 for the five new hotels. But if you could draw some light on how each of these assets are progressing.
Anuraag Bhatnagar: Hi. I can tell you in brief that we are very much on track for our overall timelines, as we have declared. We are either having received approvals or in process of receiving approvals for all our projects. The various properties are at varying stages, ranging from design development, planning to early construction.
I mean, in terms of Agra, Srinagar, we are in final stages of concept design. We are at advanced approval stage. And in Agra it is expected to come in the next few months and the construction will begin by the end of the year. In Srinagar, final handover processes going on. Concept design is in progress and the teams have been mobilized on ground to start the construction.
Bandhavgarh and Ranthambore concept designing is in place and progress of approvals is in process. Ayodhya as well and BKC, I think Ravi has already mentioned to you. And likewise, our two managed hote ls, we are looking at Sikkim is in advanced stages of the mock -up room design. And the Leela luxury residences is like we plan to put an operating team very much on the ground for pre -opening towards this year end.

Sreetika Ray Mohapatra : Thanks, Anuraag . Also, the presentation mentions an international expansion plan as well, in terms of scouting for opportunities. Is there anything already that is in the works or being looked at and any particular regions that you may be looking to target?
Anuraag Bhatnagar: If I just take a step back, Leela has been present internationally, maybe not in terms of an asset yet. But nearly 50% of our business comes from international markets. And Leela has been recognized globally through various publ ications and the readers , travelle rs as one of the best luxury brands.
So we are always open and evaluating o

pportunities in markets, which are A, either key source markets for Leela in India and B , the markets where India is travel ling. So we are evaluating several options and I'm sure we'll be in a position to let you know once we come to a meaningful closure.
But we see significant potential for international expansion driven by the strength of the Leela brand, the expertise of our management team and the global operating experience of Brookfield. We just need to make sure that we are maintaining long -term financial discipline and ensuring that the decisions that we take are prudent and right.
Sreetika Ray Mohapatra : Thanks. T hat's very helpful. Also, while we're in early days of this quarter, how are you seeing the market offtake after the recent headwinds that we had seen in 1Q a nd how do you see the rest of the year shaping up in terms of demand and growth across your properties?
Anuraag Bhatnagar: If I kind of talk about the first quarter and thank you for observing that we have some very strong set of numbers, where we have s een a 20% growth in terms of RevPAR in Q1. This is despite the two weeks odd blip that we observed in the month of May on account of geopolitical tensions and Operation Si ndoor.
That being said, typically as we have all seen in terms of cycles, H2 is significantly stronger, which means Q3 and Q4. And we see from the business on books and the funnel and the events that are happening in the country, in the locations that we are present in, we see a very strong runway ahead and a very strong finish to this balance of this year for FY26. We are looking at closing towards mid -to-high teens in terms of overall growth for FY26.
Moderator: Thank you. We'll take our next question from the line of Karan Khanna from Ambit Capital. Please go ahead.
Karan Khanna: Yes, hi. Thanks for the opportunity and congrats on a great quarter. So Anuraag , my first question to you, well, you did speak about the trends that you're seeing in the current quarter as well. But more importantly, if you think about the FTA recovery, which has been a challenge for the industry, how are the trends playing out for you, particularly in the July, August, September quarter? And more importantly, as we enter the season -heavy period o f second half, what are the expectations going into that?



Anuraag Bhatnagar: I think as far as FTA is concerned, I touched upon it, nearly 50% of our business is international for Leela. And you know, India as a country today we still haven't caught up on the pre -COVID levels when it comes to foreign tourist arrivals. But we see, b ased on the bookings and the popular offtake of certain marquee products, like the Leela Palace Tr ail that we launched last year, the Arq at Pichola that we launched last year, a very high -end premium luxury product. We are expecting the H2 of this year, which is typically the FTA season from October to the end of March, to be a very high robust season in terms of FTA arrivals. And we are already seeing early -stage expressions of interest and lon g lead bookings coming our way, plus this is also the season when we get international incentives and delegations.
So we don't see that. Rather, we see that as an opportunity because the baseline has changed post-COVID. So we see that as a lot of headroom of opportunity because this international business, not only they stay longer, they typically tend to spend USD 10 to USD 20 more depending on locations and they consume and spend more money on overall F&B and wellness spendings and transportation.
Karan Khanna: Sure. And just looking at the occupancies for FY25, it stood at 65%. How should we think about scope for increase here, given that you have a mix between leisure and business properties, where demand will vary greatly based on seasonality for leisure and w orking days for business hotels?
A

nuraag Bhatnagar: So as far as occupancy is concerned, we have made a few shifts in terms of our internal strategy and market segmentation, which have yielded very well for us. There's a lot of investment that has happened in terms of driving direct business, which contribu tes nearly two -thirds of our total business.

So whether it's our city hotels or our resort hotels, we definitely believe that our occupancies will be hovering closer to 70, early 70s towards the end of this year and with significant growth in ADR as well.

Karan Khanna: Sure. So a second question, well, in one of your slides, you've guided for a mid -to-high teen sort of an EBITDA growth in FY26. But given that most of your growth assets will come on stream by FY28, how should we think about, let's say, FY26 -27 and 27 -28 growth numbers for the company?

Anuraag Bhatnagar: So I think I've already spoken about the same store. All our Lee la hotels, whether resorts or city hotels are in such iconic locations and in such micro markets, where there's no new supply coming in and the demand is growing in double digit. That being said, we have also invested a lot back into value drivers in each of our assets.

For instance, we are adding a new ballroom in Leel a Palace, New De lhi. We added one ballroom in Lee la Palace Bengaluru last year. We have upgraded and r e-launched our restaurants in L eela Palace, New Delhi, the Qube and Le Cirque. There's a new F&B venue opening in Bengaluru . Luxury retail is getting repurposed as we speak with some global international luxury brands creating an entire e cosystem in The Leela Palace Bengaluru . We are launching a world -class



spa. New plunge pool villas have been launched in Leela Palace Udaipur and so on and so forth. So these asset enhancements that we have done across the portfolio of our hotels will create a compounding effect on the business because they create a brand stickiness.

The most important launch, which I would say that we are doing this year and Ravi alluded to it, is the launch of members -only, by invitation -only, private m embers club called The ARQ . We are launching t his year itself, we are launching in three of our hotels, starting with the Lee la Palace Bengaluru , where we are targeting thought leaders and trailblazers and this is going to be a great offering from the Lee la portfolio.

This creates a compounding effect for the rest of our business. On the expansion side, two of our hotels will open in FY27. So in between now and 28, we have two openings. The Lee la Luxury Residences would be opening, the Leela Sikkim would be opening, and we will have all these clubs that we spoke about coming to life and all the value drivers across all our hotels would have been stabilized. This is happening between now and 28.

Moderator: Thank you. Next question is from the line of Murtuza Arsiwalla from Kotak Securities. Please go ahead.

Murtuza Arsiwalla: Yes. Hi, sir. Two questions. One is for Ravi, sir. Actually, more on the bookkeeping. We see a drop in the depreciation cost year -on-year for 1Q versus 1Q25. Anything to explain that drop in depreciation because the base would be the same assets? Second is , obviously, some of the previous participants have talked about Jaipur and Udaipur, RevPAR and you talked about . How much do you think would have been the impact still of the tensions? A lot of the peers who have reported so far referred to the sort of border tensions in ter ms of impacting ARR and RevPAR. Do you think these numbers could have been even stronger than what it would have or how much had those tensions not been there ? So those are my two questions .

Anuraag Bhatnagar: I think I will take the RevPAR and then I'll hand over to Ravi to talk about the depreciation. If I give you a month -by-month breakup of Q1, when you spoke about these border tens

ions and
probably what other companies…

Murtuza Arsiwalla: Yes.

Anuraag Bhatnagar: …have been reporting in terms of cancellations. Luxury as a segment is relatively inelastic and bounces back. This we have seen over various cycles and this is not just the Leela -specific phenomena. It's a global phenomenon if you look at any luxury brand across segments. And I think Leela has also, going through our numbers you can see that, that luxury has more resilience than any other segment.

That being said, there was a blip for around two -odd weeks in the month of May, wherein we had high double -digit growth, nearly 20% growth in the month of April, as well as June. So whether it's Jaipur or Udaipur, there is a very strong Indian domestic dem and of luxury consumers. And the experiences that we have created over the last few years, the programming

that we have brought into play, for instance, each of our hotels we have made them extremely family -friendly, attracting the new consumer behaviour of multi -generational travellers.
We are creating villas in Jaipur as we speak, and new kids' clubs in Jaipur and Udaipur to ensure that we have families who come for staycations, they drive down for two to three nights and they have great experiences in programming to back them up to focu s on length of stay, to insulate us from the seasonality and some of these blips that can happen. So on the RevPAR side.
Ravi Shankar: And just to add, if you look at Jaipur, we have increased our occupancy in Q1 by 16.5%. We did 59% of occupancy in Jaipur, that was almost a 16.5% increase. So that's how our hotels are ramp ed up because you have put in the entire FIT strategy in our resort hotels.
And on the depreciation point, the brand was in the Schloss HMA, which is the corporate company. This brand got amortised over a period of five years, with the last year being FY ‘25. That's the main reason for the decrease in the depreciation and the similar depreciation number would continue in the coming quarter. Except for the value drivers that we are now doing, that will get capitalized and we'll have some incremental depreciation amount quarter -by-quarter.
Murtuza Arsiwalla: Sure. So basically, the brand amortization has been completed last year. That led to the drop and as you capitalize more assets or other investments that...
Ravi Shankar: Yes.
Murtuza Arsiwalla: Okay.
Moderator: Thank you. We'll take our next question from the line of Binay Singh from Morgan Stanley.
Binay Singh: Hi, team. Congratulations on a good set of numbers. Two questions actually. First, as we talked about expansion, including international expansion, is there any debt -to-EBITDA ratio that you would not want to cross, like any sort of guardrails or any benchmarks that you sort of kept in mind?
Ravi Shankar: So, Binay, thanks for the question. With our contracted pipeline or even with the active pipeline we have both in India, internationally , our intention is to have an average net debt -to-EBITDA of around 2.5x. Sometimes higher, lower, but average around 2.5x. That's the threshold which we have in our mind, Binay.
Binay Singh: Okay, and that is helpful. Secondly, this 2030 guidance that we've given on the EBITDA side.. so does it include, if you could, A, give us the key drivers of that? B, does it include the BKC property that you've talked about in the presentation? And C, does it include other income or is it without other income? So these three points. Thanks.
Ravi Shankar: So, f irst of all, Binay, what we have done in this quarter, just to clarify on the Other Income, we moved all1 our operating income to Revenue from Operation s. Right now, Other Income only1 includes treasury income. So now we have made our accounts much cleaner for you guys to refer to.


The INR 2000 crore

s has a very small amount of treasury that is generated because of some of working capital kept. So it's a very insignificant amount of treasury income in the INR2 ,000 crores. Now, how we would achieve the guidance that we have given for INR2 ,000 crores? That's first lever is a same -store growth, where we'll drive our occupancy and ADR, and RevPAR to high double digits , and with our operating leverage, we'll have around a mid -teens of EBITDA growth, plus the value driver which Anuraag spoke about, the three club s, the spa, the retail coming in, all this will also add to the EBITDA, plus with the contracted pipeline of the five hotels, Agra, Ayodhya and Ranthambore , etc. , plus the two managed hotels, which is Sikkim and Mumbai.
With these contracted pipelines and same store , we'll double the EBITDA from INR 700 crores of FY25 to almost we’ll doubling it by FY30. And with the active pipeline, like the Leela BKC, which we just mentioned during our call, and the other active pipeline, we'll increase our EBITDA by another INR 500 crores, reaching almost INR 2000 crores of EBITDA.
Anuraag Bhatnagar: To add on to what Ravi just mentioned, we are creating two new brand verticals, the ARQ Club, which is coming in five locations, as well as the Leela Luxury Residences. We see a long runway ahead, especially looking at the market in India, looking at the way the offices are moving and what's happening in the real estate economy. We definitely see there's a lot of potential and tailwinds behind expanding the Leela Luxury Residences model to other cities as well, starting with the first one in Mumbai, as well as for the ARQ Club.
Binay Singh: Right. Right. So that is helpful. So just to sum up, it's basically 15% same -store EBITDA growth and the remaining is coming from new properties to reach this number of INR 20 billion or so, right? And Mumbai is included in this. The BKC is included…
Anuraag Bhatnagar: Yes.
Binay Singh: In this target -- EBITDA target.
Ravi Shankar: And this is a guidance2, Binay, not a target2. This is a guidance2 that we have for the five years,

how we would track.
Binay Singh: Great. Great. Great.
Moderator: Next question is from the line of Achal Kumar from HSBC.
Achal Kumar: Yes. Hi. Thanks for taking my question. I have -- so, first of all, I just want to understand about your BKC construction. So basically, I think most of the hotel operators and owners have been talking about sort of expensive land and high cost of capital as one of the biggest hurdles, especially in greenfield capacity addition and the cities like Mumbai, payback period is very high.
So, what are your thoughts on that? I mean, is it like, because they are so high that it is still feasible to have a hotel construction BKC or is there anything else? So just want to understand


how you see the economics, especially in places like BKC where la nd must be very, very expensive?
Ravi Shankar: Thank you for the question and very interesting. Just to give a clarity, the land that we have acquired, it's already at a very attractive basis of 20% to 25% less than the deals that are in the market and the information in the public domain. Also, just to give you some more statistics about the BKC market, BKC has 39 keys per million square feet of space versus 230 in Delhi and 185 in Bengaluru . And there's a major supply gap there.
Also, it's backed by strong demand fundamental s, including India's largest convention center and rising commercial density. So there's already a huge potential for the hotel to have a very high occupancy and ADR because of the demand supply gap. There is no luxury hotel, no supply coming from 2011, only 738 keys, which is in the BKC centre . So as a result, the fundamentals are very strong and the returns are also attractive and that's the reason we have gone for this project.
Achal

Kumar: Right. Okay. Fine. So, you mean that because of high ARRs and the sort of under penetration, this makes the project quite feasible? That's how we should look at it, right?
Anuraag Bhatnagar: See, I mean, I 'll just come in here. The last hotel that opened in BKC was opened in 2011. If you look at today BKC with the NMACC, with the office consumption and the Global Fortune 500 companies operating from this financial district, there's a long headroom for both occ upancy and ADR to grow in this micro market. And plus, as Ravi mentioned, our basis of cost was very realistic and reasonable at 25% lower than in this prime location on G Block that we have acquired.
Achal Kumar: Right. Okay. Yes. My second question is around your business. So you mentioned that 50% of your business comes from international markets. So on that note, I mean, if you see all the sort of international players, whether it's Marriott, whether it's InterContinental, everybody is sort of talking about increasing their presence in India and everybody's talking about open ing 1000 hotels or whatever. Even IndiGo talked about opening so many hotels in -- along with Accor.
So do you think, and when it comes to international inbound tourism, I think definitely Marriott and all, those are sort of a preferred brand. So how do you think the competitive landscape could play or could have an impact on your business given the curre nt circumstances and given how international brands are sort of targeting their presence in India?
Ankur Gupta: Hi, this is Ankur. I was trying to chime in and answer your question on the BKC land first. If I may just come in here. Yes, so two things. You mentioned, in a way, segue d into your question about the international brands as well. You've heard a lot of operators talk about land costs and land basis. What they don't have is a sponsorship that the Leela business has with the largest real estate alternative asset manager in the world, which has really come to light in this project where Brookfield Capital is partnering with the Leela business to create something unique , and which is not available to most hotels, standalone owners, operators, managers, which is also a segue into why we believe this is a very good opportunity because of the limited competition that


business has from any other hotel brand, and which is represented in a way that for the last decade and a half, no hotel has come up in the BKC district despite the district becoming one of the top destinations, not just in India, but globally.
So, I hope that is also something that we are able to provide as a promoter of the Leela business, which is very, very unique. And this is the first example of this. I would like to believe that many more examples will come, which will place us uniquely compared to any other competition that you may talk about.

The second part of your question, I would like to believe that everybody is talking about an asset -light model, which means that without investing a dollar , from thin air, people can create thousand hotels every year, which I don't think realistically on this call we can all believe that that's possible.
Any which ways, Leela has a unique business model, which relies upon realistic targets, as well as a segment, which is massively underpenetrated, which most of the names that you talked about are not able to target in a place like India. And secondly, where is the capital going to come from? Is a no pun intended, billion -dollar question.
Achal Kumar: Right, okay, thank you so much and wish you all the best .
Moderator: We'll take our next question from the line of Sumit Kumar from JM Financial. Please go ahead.
Sumit Kumar: Hi, good evening. Thanks for the detailed update and a fantastic set of numbers. My first question was partly answered. For the RevPAR growth of Udaipur, can you please ma

ke it out what was
led by occupancy and how much was ADR growth?
Anuraag Bhatnagar: Okay . The overall growth, as you can see on Slide number 17, is 29%. You just give me a moment and I'll give you the details.
Sumit Kumar: Sure, and my second question is on the Udaipur expansion. So, do we have any update on that? What will be the completion timelines? As well as what kind of a product that will -- it will be similar to the existing offering or you'll probably sort of position it maybe even at a much premium level.
Anuraag Bhatnagar: So I'll quickly come to the new land, but I can just give you the details. The growth is coming 20% from ADR and nearly 4% to 5% from occupancy in terms of the RevPAR that has happened growth of 29%. Now this new land that we have acquired is sharing a common boundary wall with the Leela Palace in Udaipur. It's c.1.8 acres of lake facing land.
As I mentioned earlier, we are doing design development and preparing the site right now in the final stages of getting all to build approvals. This we are looking at developing 33 keys and a 10,000 square foot banquet space. This is our opportunity to expand our premium inventory and capture a larger share of MICE business.


If you look at the demand supply data points in Udaipur as well, we see a double -digit, high double digits demand in that city from celebrations, MICE, international incentives and very high-end exotic FIT movement. So, we believe that this addition of 33 keys and this 10,000 square foot of ballroom space and an additional restaurant will further strengthen our palace offering.
And this particular hotel, all the rooms are going to be facing the lake. And with Leela, typically our room sizes are 30% higher than anybody else in luxury hospitality. We really believe this will complement our existing palace as the new offering of Arq in Pichola has done on the other side of the lake adjacent to Leela.
Ravi Shankar: And also, this will also help us to increase our share in the weddings, the luxury weddings and the MICE because we'll have multiple venues and additional ballrooms.
Sumit Kumar: Okay . Any idea on when this will get completed? By '28, will that be safe to assume?
Ravi Shankar: So next 18 to 24 months, this will be operational , Sumit.
Sumit Kumar: Okay . So, we are at 88 rooms. There is some villa rooms also coming and then 33 on top of this , correct?
Anuraag Bhatnagar: So we'll be a total of 134 keys3 once we finish.
Sumit Kumar: Okay.
Moderator: Thank you. Next question is from the line of Prashant Biyani from Elara Securities . Please go ahead.
Prashant Biyani : Yes, thank you for the opportunity. So, sir, is it that 2, 2.5 years will be suffice for construction of own portfolio assets? I heard in the initial remarks that most of them are in the design stage, the first 5 months that we had discussed. So, 2, 2.5 years would be suffice timeline for operationalization?
Anuraag Bhatnagar: If I tell you, like, ye s, I mean, in terms of on design, development and to execution, if you look at what has already been done, we have been achieving some real short and quick and quality timelines with a lot of efficiency. We have an in -house design development and technical services team. We work historically with some of the best partners and vendors. And we are very confident in terms of the timeline s that we are declared of achieving all our project goals.
Ankur Gupta: If I may just clarify, these are not new projects. They've been in the works for several years. What the timelines you see are from today onwards. And as we know, design approvals et cetera take a bunch of the time. The actual physical construction for the hotels that we are talking about in the short -term and, some of these are repositioning of existing hotels, like in Srinagar. And some are ground developments like the

resorts in the wildlife , which have a shorter timeline.


Of course, the BKC project will take 4 years. And some of the projects might take even longer than that. But the track record of opening the Mumbai residence is next year. And followed by Sikkim and the other hotels to follow. That is the path that the company has guided us to. And I believe that we have the right knowledge , track record and the sponsorship to achieve that.
Prashant Biyani: Sure. So, for the club that will start by FY27, three of them, I think we are starting by then , three or four. So how many members are we targeting for the clubs by FY27?
Anuraag Bhatnagar: By 2030. In the next 5 years, we're looking at around...
Prashant Biyani: I was saying '27.
Anuraag Bhatnagar: It's a phased out . See, the club is an aspirational product. It is the highest end of luxury. As for an exact number, this is not a push sale. This is a by-invitation. And we are very, very mindful that this club is going to create a brand affinity and a brand extension for us. Our goal, which we believe we'll be achieving, is around 2,000 members over the next 5 years in a phased out manner.
The hard approach is to create experiences, programming, brand affinity, and create those privileges for all the guests who relate with Leela.
Prashant Biyani: And typically, the guests generally hold more than one club memberships at the luxury end?
Anuraag Bhatnagar: The target audience who we have identified and who have shown a lot of interest, they may be holding global club memberships. They are very, very aware of what offerings to expect , and what experiences. And this is what differentiates us from any other clubs that are operating today in the country.
Prashant Biyani: Sure. And so on the BKC land or BKC hotel, as you have shown in the image, is it that the commercial tower will be beside Leela Palace or they would be in the same tower, both of them?
Ankur Gupta: I'll just come in here. Lots of people toy around or assume that we can build multi -use towers. People with experience know that multi -use product in the same tower is very difficult. So there will be two separate towers here. One will be the commercial tower, one will be the hotel tower. Leela's interest clearly lies in the hotel tower here.
And as I mentioned earlier, Brookfield is the partner with the largest office portfolio in the world and the largest office portfolio in India. And this is the unique nature about this partnership. The benefits of the multi -use is available to both and the experience of doing something like this is available to a very few handful of operators, developers, managers in the world. One of those being Brookfield and the Leela combination.
Prashant Biyani: And just lastly, what would be the mix of our domestic and international guests?
Anuraag Bhatnagar: I think I answered that earlier. Are you talking about specifically about Mumbai or talking about at a portfolio company level is 50 -50?


Prashant Biyani: Company level. So in case it's 50 -50, are we seeing any disruption due to the flight cancellations that we are seeing from Air India or the wi de body aircraft that they have cancelled for now?
Anuraag Bhatnagar: No, I think we answered that question earlier as well, but we haven't seen any disruption as our business is very strong and is relatively inelastic to the short term. And if you've seen our growth is 20% on RevPAR across not just every market, but every segment that we operate in. We have grown over 20%.
Moderator: Thank you. We'll take our next question from the line of Sumant Kumar from Motilal Oswal. Please go ahead. Sumant, please go ahead with your question. As there is no response, we'll move on to the next question from the line of Maulik Raja from Fresh Food. Please go a

head.
Maulik Raja: Yes, sir. I would just like you to throw some light on as I see that the operations are slightly declined by 6.21 year -on-year. Is it just due to Operation Sindo or any other thing? And one other thing I want to ask is I read somewhere that currently occupancy is around 63%. And you said that you are planning to get up to 70%. So it will be the max what we want to achieve or in future we are expecting more occupancy than 70%.
Anuraag Bhatnagar: Okay. So all our hotels have an occupancy right now between -- for this particular year we're looking at early 70s on occupancy. But our hotels have a headroom to grow. As I mentioned, the demand in those markets and those micro markets is high double digits and there is no real supply coming. We have the highest guest experience score of 86, which makes Leela Hotels the automatic and the best address by choice for all ou r guests.
There are a lot of investments. All our hotels have been renovated. A lot of capital was deployed over the last few years. So all our hotels asset quality is spanking new. There is a lot of unleashed

potential waiting, especially in terms of 200 business coming in. It has not yet reached a pre - COVID level.
India today as a market is still under -served, not just in supply, but also underserved when it comes to average daily rates compared to any other city in Asia Pacific or in Middle East. So there's a lot of headroom in terms of occupancy for growing in the hotels , as well as average daily rates.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.
Anuraag Bhatnagar: Thank you all very much for joining us in this first ever call post our listing and I thank you all for your time that you invested in listening to us and our story and the growth that Leela has delivered in the first quarter. It's a very strong platform f or us to start and it has been a defining quarter for Schloss Bangalore , not only have we delivered a strong operational and financial performance, strengthened our balance sheet and taken meaningful strides in executing a long - term stra tegy.


With o ur differentiated luxury brand, a robust pipeline and supportive industry tailwinds , we are very well positioned to build on this momentum and create sustained value for all our stakeholders. Thank you all very much. Thank you.
Moderator: Thank you. On behalf of Schloss Bangalore Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.
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Notes: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
1 : For the quarter ended 30th June 2025, w e have reclassed rental income and other ancillary services from “Other income” to “Revenue from operation” and post this reclass “Other income” majorly includes treasury income.
2 : As per Q1 FY26 earning release investor presentation Company is targeting to achiev e Rs 2,000 Cr EBIT DA by FY30 which is not a guidance .
3 : Post expansion completion , The Leela Pala ce Udaipur is expected to have 126 keys instead of 134 keys .

## Call: Oct 2025

LEELA PALACES HOTELS & RESORTS LIMITED
(formerly known as Schloss Bangalore Limited)
(formerly known as Schloss Bangalore Private Limited)
Registered Office: The Leela Palace, Diplomatic Enclave, Africa Avenue, Netaji Nagar New Delhi South Delhi 110023
Tel No. +91 (11) 39331234 Email Id: cs@theleela.com CIN: L55209DL2019PLC347492 Website: www.theleela.com
Ref No. THELEELA/2025 -26/049
Date: October 22, 2025
To
Sr. General Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400001
Scrip Code - 544408
ISIN - INE0AQ201015 To
Sr. General Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Symbol - THELEELA
ISIN - INE0AQ201015
Sub: Transcript of the Analysts / Institutional Call
Dear Sir/ Madam,
In continuation to our letter dated October 09, 2025 and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q 2 FY26 Earnings Conference Call held on October 14, 2025 .
The above information will also be available on the website of the Company at www.theleela.com/investors .
We request you to kindly take the above on record.
Thanking you,
For Leela Palaces Hotels & Resorts Limited
(formerly known as Schloss Bangalore Limited)
(formerly known as Schloss Bangalore Private Limited)

____________________________
Jyoti Maheshwari
Company Secretary and Compliance Officer
Membership No.: A24469
Encl.: as Above



Leela Palaces Hotels & Resorts Limited
(formerly known as Schloss Bangalore Limited)
Q2 FY'26 Earnings Conference Call

October 14, 2025

MANAGEMENT : MR. ANURAAG BHATNAGAR – WHOLE TIME DIRECTOR & CHIEF EXECUTIVE OFFICER , LEELA PALACES HOTELS & RESORTS LIMITED
MR. RAVI SHANKAR – HEAD OF ASSET MANAGEMENT & CHIEF FINANCIAL OFFICER , LEELA PALACES HOTELS & RESORTS LIMITED
MR. ANKUR GUPTA – DEPUTY CHIEF INVESTMENT OFFICER & HEAD (APAC & MIDDLE EAST REGION , REAL ESTATE ), BROOKFIELD (SPONSOR )

Moderator : Ladies and gentlemen , good day and welcome to the Q2 FY'26 Earnings Call of Leela Palaces Hotels & Resorts Limited , formerly known as S chloss Bangalore Limited .
As a reminder, all participant s' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing ' *' then '0' on your touchtone phone. Please note that this c all is being recorded .
I now hand the conference over to Mr. Cyril Paul from Ernst & Young IR. Thank you and over to you.
Cyril Paul: Thank you. Good day, everyone, and welcome to the Q2 results of Leela Palaces Hotels & Resorts Limited , India's only pure play luxury hospitality Company. T he Company has published its results and has uploaded the investor presentation on the exchanges earlier today, and you can also find them on the Company's website.
Before we start, a disclaimer. Some of the statements made in today's Earnings Call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management 's beliefs and assumptions made by information currently available to the Management . Audiences are cautioned not to place undue reliance on these forward-looking statements while making their investment decisions.
On that note, let me introduce you to the Management participating with us in today's conference call:
We have with us Mr. Anuraag Bhatnagar – Whole time Director and CEO and Mr. Ravi Shankar - Head of Asset Management and CFO. We also have on the call, on behalf of the sponsor, Brookfield, Mr. Ankur Gupta the Deputy CIO and Head of the APAC and M iddle East Region .
Without further ado, I would like to hand over the call to Mr. Bhatnagar. Thank you and over to you, sir.
Anuraag Bhatnagar: Hello, everyone. Good evening. Thank you for joining us in our 2nd Global Earnings Call for the quarter ended 30th September 2025.
At The Leela, our philosophy of " Atithi Devo Bhava " continues to guide everything that we do. This quarter, we have delivered strong financial performance and made meaningful progress on our growth initiatives, reinforcing our unique position as India's only pure -play luxury hospitality brand. We have now formally adopted the name Leela Palaces Hotels & Resorts Limited , aligning our corporate identity more closely with the strength and equity of our brand as we step into our next phase of growth.

We are pleased to inform you that we have had a strong quarter outperforming the industry to deliver RevPAR growth 3 times that of luxury industry. This quarter also marked the fourth consecutive quarter of positive PAT for the Company.
At The Leela, our value pr oposition is anchored in three defining pillars :
1. The strength of our sponsor, Brookfield .
2. The power of The Leela brand.
3. A business model focused on pure -play luxury.

On the back of our sponsor, Brookfield, we benefit from strong institutional ownership, robust governance, and access to unique growth opportunities, including marquee development at BKC in Mumbai and the Palm Jumeirah in Dubai.
Our brand and focus on guest experience remains unmatched, reflected in our NPS (Net Promoter Score ) of 86 for H1 FY'26. We are also innovating to deepen customer engagement through initiatives like the launch of our invite -only member s' club - ARQ.
The Indian luxury hospitality sector has strong fundamentals with a forecasted demand-supply CAGR gap of 4.9% between FY '2 5 and FY '2 8, providing a robust tailwind for growth. With a strong pipeline of over 1,500 keys,

we are well -positioned to capture this opportunity as we target approximately Rs. 2,000 crores in EBITDA by FY'30.
Let me now briefly walk you through the structure of today's call over the next 15 minutes. I am joined in by our CFO and Head of Asset Management, Ravi Shankar. We will begin with key announcements, followed by an overview of our operational and brand performance, followed by asset management and financial performance for the half- year and quarter ended 30th September 2025. We will then outline our growth levers and future strategy before opening the floor to your questions.
Before we proceed, let me highlight a few important announcements :
• Firstly, we are excited to announce that we have received Board approval to acquire a

25% stake in an operating beachfront luxury resort on The Palm Jumeirah , Dubai. The resort is on an enviable location right next to Atlantis The Royal . The property is spread over 23 acres, has 546 keys, including residences, 12 F&B venues and extensive banqueting and wellness facilities. For a 25% stake, Leela will acquire an upfront capital investment of circa $49 million, circa INR 437 crores.
Brookfield will be acquiring the remaining 75%. This transaction is being done at an attractive entry multiple of 12.8 times Calendar Year '25 EBITDA with equity payback
for L eela in 2 -3 years through the sale of branded residences. Our investment is

expected to generate 17% stabilized yield on cost including long-term annual HMA fees of INR 55 to 65 crores. This strategic expansion into Dubai, one of India's largest international feeder market , not only enhances L eela's global brand visibility but also unlocks strong financial value.

• Second big announcement, the key highlight is the structuring update on The Leela Palace BKC Mumbai, a landmark development in the making with over 250 keys in the heart of city's financial hub. Under the new structure, L eela will co -invest 50% in only the hotel with our share of CAPEX circa INR 800 crores, including land and construction.

Brookfield will fund the remaining 50% of the hotel and will fully own and fund the 0.7 million square feet of office space. L eela will also operate the property under hotel management agreement. The project is expected to deliver a stabilized EBITDA of around Rs. 150 crores for L eela’s stake, delivering an attractive 16% yield on cost.

Now talking about our business performance in the quarter :

The Leela continues to be the preferred brand driven by our unwavering commitment to luxury and service excellence. The impact of our brand strength and customer-centric approach is clearly visible in our financial performance in this period.

In H1 FY’26, we delivered RevPAR growth that outpaced the luxury segment across all key markets. This consistent performance enabled us to achieve more than 3times RevPAR growth compared to the Indian luxury segment. For H1, RevPAR is up by 16% to INR 12 ,616, supported by ADR growth of 10% and occupancy improvement of 3.8 percentage points to 66%.

In Q2 FY’26, our RevPAR grew by 13% to INR 13, 262, driven by balanced improvement across both ADR and occupancy. Revenue growth has been delivered across all segments, Retail, Corporate, as well as G roups. Retail and Corporate -driven momentum fueled strong double -digit RevPAR gains across both city hotels and resorts.

In terms of composition, retail continues to be a strength and a dominant segment, contributing 58% of the room revenue in Q2. Further, in the same quarter, we delivered 23% growth in retail segment on the back of our dynamic pricing and focus on direct sa les channel with a high growth coming from brand.com.

We are proud to report a profit after tax of INR 75 crores for Q2 FY’26, making our fourth consecutive quarter of positive PAT . This consistent performance reflects a strong

operational
momentum and disciplined execution, positioning us well for sustained growth.

In Q2, we not only out perform ed the industry in financial and operating metrics, but we also strengthen ed our brand equity through global recognition. One of our flagship properties, The Leela Palace, New Delhi, has been recognized as amongst the B est City Hotels by Travel and Leisure for 2025, an accolade that underscores our brand strength and global appeal.

In the Food and Beverage space, we continue to build momentum. ZLB 23, a Kyoto Speakeasy Bar at The Leela Palace, Bengaluru, has earned a spot amongst Asia's 50 Best Bars. Furthermore, two specialty restaurants at The Leela Palace, New Delhi, have been ranked amongst India's top 50 restaurants by T he Condé Nast Traveler - Le Cirque, Franco-Italian fine dining restaurant, and M egu, Japanese specialty restaurant. These prestigious recognitions reflect our dedication to delivering exceptional culinary and bar experiences.

Our brand strength is shown in the experience we deliver. We don't just lead the industry, we set up our own benchmarks and keep beating them. Our N et Promoter Score remains the highest in the sector, improving year after year with a strong score of 86 in H1 FY’26.

We remain the employer of choice in the hospitality industry, supported by our industry-leading talent development and employee engagement programs, which has helped us improve our retention ratio to 79% in H1FY'2 6. Our structure d training programs includ ing LLDP, LEAD , and global training. They play a very critical role in strengthening our service culture.

Moving on to new developments during the quarter :
As discussed in the last Earnings Call , we launched ARQ, an exclusive members -only, by invite - only, ultra -luxury club offering at The Leela Palace, Bengaluru. ARQ by The Leela targets a select set of members curated from thought leaders in business and industry, offering members exclusive access to facilities, private events, and premium bespoke services. This invite-only club is witnessing a strong traction and will be rolled out across other key cities such as New Delhi and Chennai in the second half of this year and Mumbai to follow thereafter.
Furthermore, at The Leela Palace, Bengaluru , we have relaunched 34,000 square feet of high-end retail space. This retail wing will house India's leading luxury brands like Sabyasachi , Zoya, in line with the taste of Leela's discerning clientele. The luxury retail wing will also add annualized EBITDA of approximately INR 10 crores.
We have also reopened the iconic Franco -Italian restaurant, Le Cirque at The Leela Palace, New Delhi, by repurposing under-utilized space. With its reimagined design, evolved menu, and immersive storytelling, the restaurant is poised to set new benchmarks for fine dining in the city.
Taken together, these initiatives reinforce our philosophy of creating a holistic Leela luxury ecosystem, spanning room s, dining, events, wellness, retail, and exclusive lifestyle experiences.



We continue our commitment to our ESG philosophy as we strive to create long-term value while delivering experiences that are both luxurious and responsible. During Q2 FY'26, we have successfully commissioned 2.25 Megawatts solar plant at The Leela Palace, Chennai. Leela now uses 65% energy from renewable sources.
These efforts are aligned with a long-term commitment to achieve N et Zero by 2050 while building a socially inclusive and environmentally responsible organization. Together with Brookfield's institutional strength, a robust growth pipeline, supportive industry tailwinds, and a highly engaged team, The Leela is well positioned to scale new heights in the luxury hospitality.
I will now hand over the proceedings to

our CFO and Head of Asset Management – Ravi, to
take us through the Q2 and H1 FY'26 performance and balance sheet details.
Ravi Shankar: Thank you, Anuraag. Good evening, everyone.
Let me take you through the financial and the business performance for the quarter and half-year ended 30th September 2025:
This quarter has once again underscored the strength, efficiency, and the scalability of The Leela platform, combining strong top- line growth with disciplined capital management and sharp focus on returns .
First, on the financial highlights :
During the quarter, we posted 11% revenue increase to INR 333 crores, while the EBITDA grew by 17% to INR 161 crore s, delivering a margin of 48.2%, an expansion of 2.5%, reflecting a healthy flow-through of nearly 70%.
Even on an operating EBITDA basis, excluding the treasury income, performance remains strong with a 12% growth to INR 138 crores, delivering a margin of 44.4%, an expansion of
1.2%.
Turning to the half-yearly performance:
We experienced robust half-yearly growth with our total revenue registering an increase of 18% to stand at INR 635 crores. While EBITDA grew by 34% to INR 289 crores, our EBITDA margin expanded by 5.6% to 45%, reflecting strong operating leverage and effective cost management.
Importantly, 77% of incremental revenue flow -through translated to EBITDA gains, highlighting robust operating discipline. Even excluding the other income, the EBITDA flow -



through stood at an impressive 67%, reflecting the efficiency and strength of our operating model.
H1 PAT stood at INR 83 crores compared to a loss of INR 126 crores last year. This turnaround was driven by two key factors. First, INR 73 crores boost due to improved business momentum and EBITDA growth, supported by INR 118 crores reduction in finance cost.
With this momentum, we are firmly on course to deliver another year of strong performance, building on four consecutive profitable quarters and entering the second half FY'26 from a position of strength. We typically witness strong seasonal uplift in the second half of the year and this trend is expected to continue. Supported by favorable seasonality, continued portfolio enhancement, and strategic execution, we remain on track to achieve the mid -to-high-teen EBITDA growth in FY'26 in line with our earlier guidance.

Moving to non -revenue segment :
Our F&B revenue registered a healthy growth of 11% Y -o-Y in H1, contributed by both outlet and higher banqueting income. Our HMA fees a capital light and high-margin revenue stream grew by 14% Y -o-Y , reflecting healthy managed portfolio traction.
Let me also highlight the strength of our balance sheet:
Our net debt to EBITDA stands at 0.5x. Our net debt to equity at 0.2x, reflecting a robust balance sheet and capital structure. With more than IN R 10 billion of cash sitting in the balance sheet and a strong A A Stable credit rating, The Leela stands well positioned to fund expansion and manage future CAPEX needs efficiently .
We have also strengthened financial flexibility through refinancing, lowering our average cost of debt from 9.1% to 8.4% and extending the l oan tenure from about 8 years to nearly 15 years. This will not only improve the free cash flows in the near term but also provide us with long-term stability to support growth investment and value creation. As a part of this financing, we have also optimized the security package with no parent guarantee or promoter pledge, further reflecting the strength of The Leela's balance sheet.
Our focus remains on quality growth, discipline d capital deployment and sustainable value creation. As of September 2025, our adjusted RO CE stands at approximately 14%. Our book ROCE is impacted by two factors that inflate the reported capital employed. Around INR 1,275 crores from accounting of revaluation res

erve when we moved from IGAAP to Ind AS and INR 1,193 crores of pre -IPO expansion capital infused by Brookfield. Adjusting for these two, our underlying RO CE stands at a robust 14%.



Looking ahead, we are building a portfolio which will deliver high te en ROCE on the back of four strategic pillars :

- First, same -store growth with asset enhancements like new revamped F&B outlet s, banquet space s, spa and wellness center .
- Second, new verticals like the ARQ , The Leela luxury residences, which enhances revenue at a marginal cost. Our owned pipeline with development underway in Udaipur, Mumbai, Srinagar, Agra, Ayodhya, Ranthambore and Bandhavgarh will also add to the incremental RO CE.
- In addition, our international foray with the Dubai Palm Jumeirah project, which aligns with our long- term strategy to expand The L eela brand globally and diversify our revenue stream, reinforcing our commitment to sustainable value creation.
- Fourth, the capital light HMA expansions such as Sikkim and Mumbai enabling high margin growth and footprint expansion with limited capital outlay. All of these growth drivers are designed to be RO CE ac cretive and we remain confident of achieving high teen ROCE growth over the immediate term, in line with our EBITDA growth trajectory.

To sum up :
The Leela stands today stronger than ever, delivering profitability growth backed up by a solid balance sheet and pillars of expansion. With the support of our sponsor Brookfield, we are equipped with the financial strength, global expertise and development capabilities to accelerate our next phase of growth. Together, we are confident of taking The Leela to new frontiers, building on legacy of excellence and creating lasting value for all our stakeholders.
Now we can open the floor for questions.
Moderator: Thank you very much. We will now begin the question-and- answer session. We will take our first question from the line of Binay from Morgan Stanley. Please go ahead.
Binay: Hi, team . Congratulations on good set of numbers. I have two questions on the two things that you announced in this earnings. So, firstly, on the BKC side, you have talked about the revised structure with Leela focusing more on the hotel side and Brookfield more on the commercial side. Could you share your thought process on that, that what led to the change and link to that, INR 800 crore of CAPEX that you are talking about? Which year does it sort of start and how to think about that? That is the first question.
Ravi Shankar : So, Binay, thanks for the question. Initially, the structure that we had discussed was that it was a mixed -use development with 50% of the hotel and office to be owned by Leela and 50% by Brookfield. Now we have looked at the revised structure as we spoke in the earlier call. 50% of



the hotel now will be owned by Leela and the balance 50% of the hotel and the 100% office will be owned by Brookfield. The total capital contribution from Leela's side is around INR 800

crores for the CAPEX . We have already started spending the CAPEX because we are paying for the land lease to M MRDA and this CAPEX will be spent in the next 4 years and the thought was that we would be able to use the additional capital that could be freed up in near-term operating assets that will be RO CE accretive, Binay.
Ankur Gupta: Binay, if I may come in , this is Ankur. Sites like these are unique. At the same time, it is a unique relationship between Brookfield, the promoter of Leela, as well as Brookfield as a very large real estate Company globally. And it is always prudent for palace properties to have ownership.
We have always maintained that, that palaces should be held on The Leela balance sheet. They are highly accretive.
As the presentation m

entions, 16% yield-on cost is available to Leela on the hotel site through a combination of fees as well as the ownership. Now, this yield -on cost is lower on the office site given there is no HMA income. And hence, it is prudent that Leela focuses its capital into core business of hotel ownership and operations. But Brookfield provides synergy as well as capital support to ensure that the benefit at the site of higher FSI is available to Leela. You don't have to over- commit to a very large hotel, for example.
We can commit to the ideal mix. Office will help the hotel and vice versa. And I think having ownership in the hotel and joint ownership at the hotel with the JV partner is a good thing for
Leela, as well as not exposing Leela business to office risks is a prudent one. So, in our engagement with various stakeholders, that has been agreed and Brookfield has accepted to take the entire development of office on its side.
Binay: Right. So, the land is jointly shared between the two of you, right? For the whole site.
Ankur Gupta: That is correct.
Binay: And then just linked to the second structure, the second deal that we announced in Dubai. One is that, again, we see Leela partnering with Brookfield. So, how to think about it going ahead? Will this be a template that we will see more and more? Or is it more where you see an opportunity and Leela doesn't have the balance sheet that Brookfield steps in?
Ankur Gupta: I would say it is very unique for Leela to have a sponsor like Brookfield. It is very unique, not just for Leela in India, but it is unique globally, where the principal shareholder is able to, through these joint ventures, able to provide the support as well as strategic expansion.
So, for example, in Dubai, it is an amazing transaction. Now, no hotel Company in India today can, on its own, take up a half a billion dollar transaction plus expansion capital or redevelopment capital. At the same time, it is very, very, very attractive. Entry yield is about 12.9 times . All of

the money will be back through sale of residences. Effectively , the equity in the hotel portion will be marginal or almost nothing. So, highly attractive transaction. And Leela can generate significant management fees from this transaction.
So, Leela gets the benefit of the sponsorship and the ownership that Brookfield provides and is able to access gateway properties, unique locations, amazing non -replaceable real estate, or virtually impossible to replace real estate and to be able to put its flag into these locations, earn management fees, and earn EBITDA at very attractive return on capital.
You are talking about, on a stabilized basis, a low single -digit multiple EBITDA, which means very high double -digit return on capital, plus growth. So, you are talking about high 20s IRRs for both these transactions, which is almost impossible for a standalone hotel Company to access. But through a partnership with its sponsor, it is able to get these unique transactions done.
Binay: That is helpful. Actually, just putting all this together, how to th ink about Leela's own balance sheet in the coming years because the CAPEX intensity would inch up? So, any revised numbers on what sort of a , because most of these properties are actually the Dubai one is already operational . So, you will start getting some EBITDA from there , but the BKC …
Ankur Gupta: A lot of EBITDA. A lot of EBITDA by the way . So, by the time the conversion happens , as I mentioned , this is at a 13 , 12.5x multiple . So, it is highly cash accretive on day one . On the BKC asset capital , while we lay out the total capital of INR 800 crores , it will happen over 4 years , right ? And as most construction projects go, a lot of capital is back -ended by the time finishing and other things happen. So, a lot of the ca

pital is back -ended and Leela's balance sheet is still very, very strong to do the smaller deals and HMA contracts and key money etc ., on its own.
So, this is a prudent way , in a combined transaction for both of these put together for Leela is a fraction of what it will need to do if it was standing by its own balance sheet . Leela's balance sheet is very strong. Our rating is very strong our debt levels are very low and all of these transactions are being funded by cash available on its balance sheet right now .
Moderator: Thank you. We will take our next question from the line of Sumit Kumar from JM Financial Institutional Securities . Please go ahead.

Sumit Kumar: Hi. Good evening. Congratulations on a good set of numbers and the new Dubai acquisition . My first question is on the Dubai acquisition . If you could explain the point on the equity would be bought back with, the 25 % equity that Leela holds would be bought back from the sale of residences . So, how much would be the proceeds from such sale of residences and will that be an arm's length transaction when we do that and how are you thinking about that ?



Ankur Gupta: Let me just chime in here. Everything is arm's length . Everything is at the same basis . So, Leela is 25 . Brookfield fund is 75. It is at the same basis . What we mentioned is that in the next two to three years , so the hotel consists of 370 odd keys and residences , the balance .

Our business plan is to sell the residences . Now the capital gain and the net proceeds from that will ensure that the dividends back to shareholders , the two shareholders in 25/ 75 ratio is enough for the initial equity in its entirety to be returned, which means that Leela will end up owning a 25% stake .

Now this is all subject to our business plans panning out , but we believe the market is very , very strong, which means we expect that dividends back or distributions back to Leela over the next three , maybe 3 plus years or maybe 3 minus years will be enough such that the equity invested in this property, net equity post the distribution over the next three odd years will be practically zero.

So, Leela will end up owning a 25% stake in this resort of 360 odd keys for practically no equity over the next 3 years . It makes it very , very attractive and have a management contract that will generate 50 plus crores of annual income on top of it . So, it will own 25% stake and the HMA fees generating solid EBITDA and get all its money back through distributions . Everything is arm’s length. Everything is equitable . Everything is at the same basis as two to 25 as two shareholders would be .

Sumit Kumar: And the second question is to Ravi . If you could give us the breakup of room revenue and F &B for this quarter and any sort of color on the RevPAR growth across properties , what properties drove this during the quarter grow this number?

Ravi Shankar: So, Sumit , I will give you a breakup of the city and the resort . The city hotels RevPAR was almost 14 % and resort were 10% for Quarter 2. And if I tell you H1 , it was a city hotel that drove 14.5% and resort did 22.5%. Jaipu r did a very healthy occupancy that drove the occupancy. It did early 60s from the last H1 of around 50%. So, that was driver. In terms of ADR, the hotel that did drive the ADR was Chennai, Bengaluru and Udaipur.

Sumit Kumar: And the breakup of room revenues and F &B if you have?

Ravi Shankar: So, room revenue, I can give it to you. The room revenue was INR 147 crores against last quarter of INR 130 crores . And F&B was INR 120 crores against last quarter of INR 113 crores.

Sumit Kumar: That is all from my side.

Moderator: We will take our next question from the line of Prashant Biyani from E lara Capital. Please go ahead.



Prashant Biyani: Sir, congrats on the transaction and all the best for your international foray. S ir, would there be any further investment in Dubai property from Leela's side? And I also understand that the property was not having such a great review from the guests. So, is it that we will first renovate the hotel and apartments and then we will start to sell ? Some clarity on these , and how much could be the realization per residences?

Anuraag Bhatnagar: Hi, Prashant. Like you said, it is an operating hotel and let me just give you a little bit about the asset. It has got 546 keys with a 63 square meter average room size and a great iconic location. So, this particular property is running at a high occupancy and to give you a market standpoint, all properties on the beachfront on the Jumeirah have a blended occupancy of close to 75% and an average rate of US$ 600 to US$ 700. This particular asset, we will have a CAPEX plan, which will deplo y CAPEX to upgrade the asset quality, bring it up to The Leela brand standards. And the capital plan will be rolled out in a systematic and a phased out manner, knowing the fact that it is an operating hotel. This property is spread over 23 acres and has various wings. So, you can understand that we will work on this and develop a capital plan to ensure that we can be efficient about our CAPEX strategy. It is a good operating property with very good operating outcomes and customer feedback.

Prashant Biyani: And on the residences part ?

Anuraag Bhatnagar: So, sorry, what about the residences?

Prashant Biyani: On the residences also, would we start selling it after renovation or will we start selling it on as is where is basis? And what could be the realization on a broad assumption?

Ankur Gupta: It will be pos t renovation and rebranding. And that will take some time. So, it won't be fair for
us to comment upon the actual pricing today. But to your question, it will be post renovation
upgrade as well as rebranding. Dubai is a very stellar market for residential ri ght now. And we
expect that with the brand strength, it will only get better.
Prashant Biyani: And apartments also will be as Leela residences.
Ankur Gupta: That is correct.
Anuraag Bhatnagar: That is right.
Prashant Biyani: And s ir, we would be shutting down hotel for renovation or it will be part renovation which
typically is in case of soft refurb, how would the renovation pan out?
Anuraag Bhatnagar: See, as I mentioned earlier, it is a large hotel spread across 23 acres and has multiple buildings.
What it does is , it allows us to renovate in phases. We are finalizing the plan as we speak and
we will share details.



Prashant Biyani: And sir, in the slide, investor presentation that you have shared, in a slide, there was mention of
around…
Moderator: Mr. Biyani, I request you to join back the queue, please , as we have other participants waiting
for their turn.
Prashant Biyani: This is the last question. So, the purchase price mentioned was $503 million. And then Leela is
paying around $49 million for 25%. So, if you can explain these two figures, it would be great.
Anuraag Bhatnagar: The total transaction value, the enterprise value is $503 million, which, as you mentioned, which
will be funded through a combination of debt and equity. The total equity part out of this $503
million is $200 million. And our share of equity being 25% is $49 million. The balance will be
through non-recourse debt.
Moderator: We will take our next question from the line of Abhay Khaitan from A xis Capital. Please go
ahead.
Abhay Khaitan: So, my first question is again on Palm Jumeirah asset. Firstly , want to understand given that it
is already an operating asset and there might be some renovation , by when can we expect the
numbers to start hitting in T

he Leela financials ? And what could be the , I mean , you mentioned
Rs. 50 crore of income from the management fees and then the 25% that come from the own
room revenue that could be on top of it . So, if you can give a ballpark on how much can be the
overall expectation of realization and by when can we start putting it ?
Anuraag Bhatnagar: So, as we clearly state , it is an operating hotel and has a strong demand and operating leverage
already. We are expecting to close the deal in the next 30 to 40 days , and hence we will start
earning revenue from day one . The hotel is currently generating approximately $40 odd millions
of EBITDA . It would be rebranded post renovations to The Leela brand in 2027. I hope that
answers your question.
Abhay Khaitan: Yes, perfect . And my second question is on the growth that we have seen in this quarter . So,
basically , throughout the industry we have seen some slowdown in RevPAR growth particularly
in the key metro cities whereas for Leela we have seen a very strong 14% RevPAR growth for
the city hotels . Can you explain on what were the key drivers behind this major divergence and
can we expect this to sustain going forward?
Anuraag Bhatnagar: Just to set some context as we have always maintained , in Leela we have built a luxury ecosystem
which is beyond just rooms and experiences , but also food and beverage , banqueting, retail and
wellness. And we also have a very strong proprietary sales and distribution system , which has
shown the value in this particular quarter as you speak. The industry in luxury has grown by 5%,
but Leela has grown to approximately 14% to 17 %, which is 3 times of what the normal luxury
industry has grown in this quarter.



This quarter we also had some big focus on driving direct business focusing on our website ,
which we started this journey a couple of quarters back and also ensuring that a lot of focus and
intervention in new launches . We relaunched two new restaurants , Le Cirque as I spoke about
earlier and the Qube in Leela Palace New Delhi .
In Leela, it's always been about creating experiences which allow us not just a high net promoter
score of 86 but also allow us to charge a delta and create a delta when it comes to pricing and
guest feedback and repeat usage , which has a correlation to the RevPAR growth and to the
EBIT DA margins .
Moderator: We will take our next question from the line of Achal Kumar from HSBC . Please go ahead .
Achal Kumar: I had three very quick questions . So, first of all , you mentioned that over this quarter operating
leverage helped you significantly . So, 70% of flow -through to EBIT DA. Just want to understand

what was the source of this operating leverage, how big was it , and how much further operating leverage do you see still available to you guys in the system ?
My second question was about how do you see Bengaluru market , which is definitely one of the key marke t for you and recently with pressure in IT sector , any thoughts on that ?
And finally , I think to continue the previous question, one of the previous question , just want to understand when you say you are targeting INR 20 billion of EBITDA in FY '30, could you give a bit more color in terms of how sort of did you arrive that number? I mean , what kind of room inventory , what kind of RevPAR growth are you building in , and then how that would increase your debt levels or the CAPEX ? Something on that sort would be helpful .
Ravi Shankar: First, Leela operates at a very efficient operating flow -through and even if you look at the last two years , we have operated at 65% operating flow -through. This quarter, 70% flow-through was also impact of treasury income that came in from the cash that is available in the balance sheet , but even if I exclude the impact of treasury income , we are at a 67 % flow-thr

ough in H1 .
That is reflected because of the RevPAR growth managed by the cost ma nagement efficiencies for in Chennai, for example , we have just launched a 2.5 Megawatts of solar plant . That ensure s that our cost structures are always efficient . That allows for that 67% flow-through, and we expect that in the coming quarters as well , we will maintain these flow -through.
Secondly on the Bengaluru market , if you see quarter-by-quarter we have improved our performance . If you look at Quarter 2, we did a 71% occupancy for Bengaluru , and the rate growth literally was 9% and RevPAR growth was 16%. So, quarter-by-quarter, we have improved the performance.
There have been considerable CAPEX spend on Bengaluru and we have created a complete luxury ecosystem where rooms have been renovated. We launched Maharaja Ballroom. We had

ZLB. Now we are launching , we have launched the entire luxury retail wing and the ARQ Club has also been launched in Bengaluru. In that market, there is literally zero luxury supply coming for me and demand is increasing. We are investing in the asset . The corporate travel is increasing and that hotel in every quarter will keep improving in terms of the business .
Anuraag Bhatnagar: And I will kind of explain to you the bridge between where we started . I mean , the FY '25 numbers of EBITDA are known to you. We did INR 700 crores of EBITDA from FY '25. On a10% to 11% growth on RevPAR on same store, our existing ownership hotels should take us to an EBITDA of close to INR 1,200 crores by FY’30.
Our value drivers plus the new pipeline that we are building on which we have already declared Agra , Ayodhya, Bandhavgarh, Ranthambore , Srinagar, without including BKC and Dubai as of now should give us another INR 250 crores of EBITDA , which takes us to close to INR 1,500 crores.
Now the last INR 500 crores would come through new acquisitions and growing. Given the size of our balance sheet and our strategy in terms of growing our portfolio in the luxury space, we are evaluating several opportunities as we speak to ensure that by the time we reach FY’30, the last INR 500 crores will come from there.
Ankur Gupta: Anuraag, I will just add to it. These two transactions that we have double clicked on today, the total capital committed net of the distributions which we expect back in the next three odd years, three, four years. So, fast forward four cycles, in about INR 800 crores of total capital invested, which is pretty insignificant in terms of the size of Leela’s business today, we will be generating close to INR 300 crores of EBITDA from that capital deployed, net of the distribution that we would see from these two projects itself.
Now that is a very, very high ROI, ROC, whichever way you want to think about , you know, return on capital. And these are unique to Leela today. And we can replicate some of it. We can replicate it in a completely capital -light manner. We can replicate it in a partnership manner. We can replicate it to the extent it is required on Leela's own sources. But I think the INR 2,000 crore s number is within our sights already. And I would like to believe that the business has potential to do even larger numbers without a lot of capital required.
As these three examples show us, these are very, very, very unique to a business like Leela. I am not sure how many such opportunities are available to the market participants. Usually it is about a 15 multiple or 20 multiple or whatever people need to spend on buying a hotel, which really does not have any other operating levers attached to it. But that is not the case for Leela. I hope that answers your question.
Achal Kumar: Yes, that does.

Moderator: Next question is from the line of Karan Khanna from Ambit Capital. Please go ahead.
Karan Khanna: Thanks for the opportunity and congrats for another great quarter. Firstly, two clarifications, Ravi. One, if you can help simplify the BKC development for us, what were the CAPEX commitments earlier and what would be the CAPEX now? I understand it will be INR 800 crores. But given that you won't be doing the commercial project over there, so is there any evaluation behind that at which this transaction has been done with the private entity?
So, firstly, just clarification , Ravi, if you can help simplify the BKC development now, given that you were looking at 50% share in the hotel and the commercial project earlier, and now I think entirely 50% in the hotel. So, what kind of changes in terms of the overall CAPEX including land are we looking at for the BKC project?
And second, given that now the entire commercial project will be developed by the private entity, so is there some evaluation done for that? Or is it reflected in the overall construction and land cost for the project ?
Ravi Shankar: Thanks, Karan, for the question. For the BKC, now with the revised structure that we have announced today, we are only focusing on the core hotel operation and as a result, 50% of the hotel will be owned by Leela, 100% of the office and 50% of the hotel wi ll be owned by Brookfield. Our total equity contribution, which is the land and the CAPEX , total capital contribution for the land and the hotel will be INR 800 crores and that will generate almost INR 150 crores - INR 155 crores in the stabil ized year, INR 30-35 crores from the fees and the balance INR 120 crores from EBITDA, giving us 16% to 17% of YOC.
Karan Khanna: Sir, just a follow -up on just another clarification. When you look at the mid -teen EBITDA guidance for FY'26, if I look at first half itself, you have done about 34% and about 22% on operating EBITDA . So, are you expecting some moderation in terms of RevPAR or the margin in second half or is that more of a conservative guidance for second half of FY'26?
Ravi Shankar: So, Karan in our last call, we had given guidance that we will do a mid to high teens of EBITDA. We are on track of achieving that by the end of the financial year. If you see our H 1 performance, we have already done almost 30% EBITDA growth from H1. Almost a good part of the revenue comes from the H2 and we have a strong business on book setting and we are on track to achieve.
Karan Khanna: And just lastly, on this bridge from INR 1,500 crore s to INR 2,000 crore s, Anuraag, what sort of acquisition are you looking at? Will it be outright or will it again be a structure similar to what we are seeing in the Palm Jumeirah acquisition where essentially we will be looking at a part stake in a hotel where you will be partnering with Brookfield or the present entity towards the acquisition?

Ravi Shankar: Karan, we just spoke about the two hotels, Dubai and BKC hotel itself will give us INR 300 crores of EBITDA. So, we just have to look at solving for INR 200 crores of EBITDA. There are a lot of potential deals that we are evaluating which can give us EBITDA post in the near term to mid term that will take care of INR 200 crores rather we should be able to do more with HMAs .
Karan Khanna: This is helpful, Ravi.
Moderator: Next question is from the line of Vaibhav Muley from YES Securities . Please go ahead.
Vaibhav Muley: Hi, team. Congratulations on a strong set of numbers. My first question was on Dubai transaction. So, we have mentioned that $49 million would be the upfront capital required. So, how would the payment be made? Will it be through own cash and bank balance or do you plan to take incremental debt for this ? And about the non -recourse debt , what would be t

he finance cost and when will it start reflecting into the P&L? And what kind of incremental finance cost can we start seeing on the P&L?
Ravi Shankar: So, Vaibhav, you know, the $49 million that we have to pay as our contribution will be funded from an internal accrual. We already have more than INR 1,000 crores of cash sitting in the balance sheet and the non -recourse debt we are finalizing the terms . We are discussing with the bankers and we will come with more details.
Vaibhav Muley: But when do we expect to finalize the, make the rest of the payment , sir? I mean, when can we see the incremental finance cost?
Ravi Shankar: Incremental, first , the debt will not be consolidated because it is a 25% JV that we will have . So, debt will not be consolidated.
Vaibhav Muley: And secondly, on our EBITDA guidance of mid to high-te en growth for FY'26, we have a pretty strong base in terms of RevPAR for last year Q3 and Q4 where we did grow by 13% to 15%.
So, are you confident that on a high base you will be able to achieve a stronger growth in terms of RevPAR, let's say sustain the growth of again mid-te ens? And is there any sort of green shoots that you have started to see in terms of advanced bookings?
Anuraag Bhatnagar: Already, we see a very strong and a robust pace and a momentum. The H2 of the year not just is one of the best cycles that we are going to have . There are also some big events that are

planned in the country in the locations that we are present in. We are also seeing some green shoots , as you alluded to , of international business coming in, more celebration events and some
very high impact large city events. All of that will contribute to continue the momentum that we
have built up in H1 and grow from the s ame.
Ravi Shankar: And we are confident of double -digit RevPAR growth for H2 as well.

Moderator: We will take our next question from the line of Sumanth Kumar from Motila l Oswal . Please go
ahead.
Sumanth Kumar: So, I can understand Dubai investment is at a very attractive valuation. So, my question is, what
is the thought process when we have a huge opportunity in India and we are entering into the
Dubai market?
Anuraag Bhatnagar: So, Sumanth , let me first tell you that as we have always been talking, the brand Leela is
extremely well recognized and Dubai is a very important market for Leela , both for inbound, the
feeder market, as well as from Leela guests who travel to Dubai, as you know.
Secondly, this investment opportunity comes to us at a very attractive basis. We are getting 25%
of ownership of the asset in one of the best locations on the beachfront in Palm Jumeirah at a
very attractive basis, as Ankur mentioned, at 12.8 multiple of CY'25 EBITDA.
Thirdly, the fee generations that we are anticipating, the management fee generation that we are expecting from this asset, given this location and our ability to command high ADRs and
RevPARs in every hotel that we operate in, is going to be yielding us close to INR 55 crores to
INR 65 crores in terms of stabilized management fee generations. And the equity comes back to
us that we are deploying of $49 million that we spoke about earlier in two to three years through
the sale of branded residences.
So, the size of the opportunity, the location of the asset, the iconic nature, it 's brand fit in the
market that is of great interest to us, and the investment thesis, all of those make it a very, very
compelling opportunity for us. And we continue to evaluate opportunities. As Ravi mentioned,
we have the capacity in our balance sheet and to continue to look at growing our portfolio to the
best opportunity that we can.
Ravi Shankar: In India?
Anuraag Bhatnagar: In India as well.
Sumanth Kumar: So, any further plan we have if we will get more opportunity we can invest in Dubai market?
Anuraag B

hatnagar: It is too early to say that.
Sumanth Kumar: And how is the return ratio, apart from, say, going forward, if we will not get this kind of
attractive valuation, will we invest or not?
Ankur Gupta: This is Ankur. If we don't get attractive valuations, we will not invest. In any case, Leela's
business is very largely focused on the India market and with adjacency to the source markets
like Dubai where we can create outsized value for the business. But if you don't find attractive

deals, whether it's in Dubai or anywhere else in the world, or even in India, we shall be patient
and we shall wait.
Sumanth Kumar: In the growth perspective, when we talk about India ARR growth, you have an opportunity.
Similar kind of growth opportunity you see in Dubai market?
Ankur Gupta: In this specific location, yes. In this specific opportunity, yes. You know, India growth is the
best in the world right now. So, I can't compare macro growth always. In any case, there are lots
of markets in India where growth is not happening. There are lots of sectors in India where growth is not happening. So , we believe in the particular situation where we can add value,
where the situation deserves our attention, and where we have the potential to have outsized returns. So, we can't be th ematic about a particular country and a particular market in a particular
deal situation.
Thematically, India hospitality, India hospitality in the luxury space is a very long -term theme,
in our opinion. And Leela is in the best position to play that theme for a very, very long time.
As I mentioned, adjacencies will exist both in terms of feede r markets as well as in terms of
markets where we can expand the brand. And opportunistically, our capital, which has a very
high return attached to it.
Moderator: Next question is from the line of Murtuza Arsiwalla from Kotak Securities. Please go ahead.
Murtuza Arsiwalla: Just on the Dubai acquisition itself, the 182 residences are currently operational sort of rooms,
and that will be sold off. And so the EBITDA numbers that we are looking at is after that sell -
off. And again, if I were to look at the 400-odd crore s of equity investment by Leela Palaces, if
I were to simply equate that, when you talk about the two to three years of repayment through

the sale of the residences, should I consider that equivalent to what the consideration you would get from s ale of the villas? Is that understanding broadly in order?
Ankur Gupta: On a 25% basis, yes , Murtuza, you are correct. We should be able to return the capital plus whatever more capital needs to be invested for the renovation work in the next three years. So, that money will be out and the hotel of 350 plus keys will still be owned 25% and the management contract on the entire estate will still belong to Leela.
Moderator: We have our next question from the line of Raghav Malik from Jefferies. Please go ahead.
Raghav Malik: Just to follow up on the new properties , so if you could tell us a bit more about the current ownership of the Dubai Hotel and the reason for selling. And also just a clarification on the BKC projects. You said your contribution of CAPEX is INR 800 crores for 50% stake. So , is the total CAPEX then INR 1, 600 crores for Schloss would also be 50%? Sorry, Brookfield. Is that correct?



Ravi Shankar : So, the CAPEX for the BKC Hotel , that is our capital contribution from both debt equity would be around INR 800 crores. That is 50% from the hotel side. The office side is 100% funded and owned by Brookfield Properties. So, they will be handling the CAPEX for the office side.
Anuraag Bhatnagar: And on the ownership of the Dubai asset, it is owned by two families in the Middle East. They developed this asset in 2013 and are

looking to sell it as it is in a JV and both partners want to exit.
Raghav Malik: And just on your guidance, so you gave the mid to high-teens EBITDA growth guidance for the years. If we may be adjust for the rentals and other operating income that is not in the base, would that be may be a mid -teens guidance then for EBITDA for FY'26?
Ravi Shankar: Yes. So, even the guidance that we had given was for operating EBITDA, excluding treasury income, we will do a mid -teens to high-teens EBITDA growth by the end of the financial year.
Raghav Malik: And sorry, lastly, just on the RevPAR growth and room revenue growth, so there is a bit of a discrepancy, 13% and 12% respectively. So, what would that be on account of?
Ravi Shankar: There is no discrepancy. You are looking at a 4% occupancy absolute growth. If you look at that growth will be around 6%, 7% and ADR is also around 7%, so that is 13%. Occupancy, you should not look at absolute. If you look at occupancy as a percentage growth, that will be 6% , and ADR is 7%, combination is 13% RevPAR growth.
Raghav Malik: And the room revenue growth is 12%. So, that is lower than RevPAR growth, right? That's the, like, what is the discrepancy there?
Ravi Shankar: It is a rounding off. It is a rounding off.
Moderator: Thank you. Ladies and gentlemen, we will take that as last question for today. I now hand the conference over to Mr. Anuraag Bhatnagar, Whole -Time Director and CEO, for closing comments. Over to you, sir.
Anuraag Bhatnagar: Thank you. Thank you, everyone, for being with us for this call. As we finish the first half of the year, we are very excited about what lies ahead in H2 of this year. The two big announcements that we made in this call, the Dubai acquisition and the restr ucturing of BKC, really creates a very strong platform for us and expands our platform internationally as well.
Our focus on pure play luxury, our commitment to excellence, our focus in consistently strengthening our luxury ecosystem through award -winning F&B, wellness, and other offerings considerably increases our capacity to earn premiums and charge premiums. So, thank you all for bei ng there in this call and looking forward to a great H2 ahead.



Moderator: Thank you, members of the Management team. On behalf of Leela Palaces Hotels & Resorts Limited , that conclude this conference. Thank you for joining us and you may now disconnect your lines.

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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

## Call: Jan 2026

LEELA PALACES HOTELS & RESORTS LIMITED
(formerly known as Schloss Bangalore Limited)
(formerly known as Schloss Bangalore Private Limited)
Registered Office: The Leela Palace, Diplomatic Enclave, Africa Avenue, Netaji Nagar New Delhi South Delhi 110023
Tel No. +91 (11) 39331234 Email Id: cs@theleela.com CIN: L55209DL2019PLC347492 Website: www.theleela.com
Ref No. THELEELA/2025 -26/079
Date: January 22, 2026
To
Sr. General Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400001
Scrip Code - 544408
ISIN - INE0AQ201015 To
Sr. General Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Symbol - THELEELA
ISIN - INE0AQ201015
Sub: Transcript of the Analysts / Institutional Call
Dear Sir/ Madam,
In continuation to our letter dated January 12, 2026, and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q 3 FY26 Earnings Conference Call held on January 16, 2026 .
The above information will also be available on the website of the Company at www.theleela.com/investors .
We request you to kindly take the above on record.
Thanking you,
For Leela Palaces Hotels & Resorts Limited
(formerly known as Schloss Bangalore Limited)
(formerly known as Schloss Bangalore Private Limited)

____________________________
Jyoti Maheshwari
Company Secretary and Compliance Officer
Membership No.: A24469
Encl.: as Above



Leela Palaces Hotels & Resorts Limited
(formerly known as Schloss Bangalore Limited)
Q3 FY’26 Earnings Conference Call

Janu ary 16, 202 6

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ANAGEMENT : MR. ANURAAG BHATNAGAR – WHOLE TIME DIRECTOR & CHIEF EXECUTIVE OFFICER , LEELA PALACES HOTELS & RESORTS LIMITED

MR. RAVI SHANKAR – HEAD OF ASSET MANAGEMENT & CHIEF FINANCIAL OFFICER , LEELA PALACES

Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY26 Earnings Call of Leela Palaces Hotels & Resorts Limited , formerly known as Schloss Bangalore Limited.

As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone.

Please note that this call is being recorded.

I now hand the conference over to Mr. Diwakar Pingle from Ernst & Young IR. Thank you and over to you.

Diwakar Pingle: Thanks, Ryan. Good evening, everyone. Welcome to the Q3 Results of Leela Palaces Hotels & Resorts Limited , India's only pure -play luxury hospitality Company . The Company has published its results and has uploaded the investor presentation on exchanges earlier today and you can also find it on the Company's website.

Before we start, a disclaimer :

Some of the statements made in today's Earnings Call may be forward -looking in nature. Such forward -looking statements are subject to risk and uncertaint ies, which could cause actual results to differ from those anticipated. These statements are based on management's beliefs and assumptions made by information currently available to the management. Participants are cautioned not to place undue reliance on the se forward -looking statements while making the investment decisions.

To answer your questions today and to take you through the story, we have the Management participating with us today in today's Conference Call . We have Mr. Anura ag Bhatnagar – Whole -Time Director and CEO and Mr. Ravi Shankar – Head of Asset Management and CFO.

Without further ado, I would like to hand over the call to Mr. Bhatnagar. Thank you. Over to you, Anura ag.

Anuraag Bhatnagar: Thank you. Hello. Good evening, everyone. Wish you all a very happy and prosperous 2026 and thank you for joining us for our Third Global Earnings Call for the Quarter and Nine Months ended 31st December 2025. I am joined today by our CFO and Head of Asset Management – Ravi Shankar.

Let me begin with the highlights for the quarter:

I am pleased to report our 3rd Quarter results. In this quarter, we have continued our outperformance versus the luxury industry and delivered 20% year -on-year RevPAR growth and operating EBITDA growth of 23% year -on-year, driven by a strong 17% uplift in ADR. This



growth is enabled on the back of Leela b rand's unique positioning in the industry, proprietary sales and distribution network, and ability to consistently attract high demand and price premium over competitors.

Our room revenues grew by 20%, anchored by higher contribution from retail and accelerated growth in website performance. Nearly 153% growth in revenue came from the website performance.

Given our continued focus on food and beverage quality and experience, our revenue grew 29% year-on-year, driven by both restaurant and banqueting. This performance was primarily fuelled by 17% growth in non-resident footfalls across our restaurant s.

Further, our operating EBITDA margins during the quarter were at 52%, which is one of the best in the industry. This was our best -ever quarterly performance and the fifth consecutive quarter of double -digit growth in both R evPAR and EBITDA. Driven by the strong performance in the first nine months of the financial year, we are well positioned to exceed our earlier guidance of mid-to -high te ens EBITDA growth for FY26.

The luxury consumption story in India continues to play out strongly and Leela continues to outperform the luxury industry within the sector. We have been consistently gaining market share in the luxury ind

ustry and for the period April to November 2025, our market share increased by 15 points and this quarter our R evPAR premium year -on-year increased from 141 to 162, underscoring our consistently superior performance against the India luxury market. We continue to maintain a premium of approximately INR 5,000 in RevPAR over the rest of the luxury segment in India. This sustained leadership reinforces our strong market positioning and our ability to deliver superior value. The Leela R evPAR growth has consistently outperformed the India luxury segment growth by more than 2 times over the last three quarters. Our strategy is clear. We offer a holistic luxury ecosystem that drives total revenue premium across rooms, F&B, wellness and luxury experiences.

As a case in point, during the quarter, we comprehensively repositioned The Leela Palace, Jaipur to attract more domestic and foreign leisure tourists. We have completely revamped and upgraded the F&B offerings at this property, introducing the all -new Aravali D ining Room as our signature all -day dining, Jamav ar, our iconic and globally recognized signature speciality restaurant , the Peacock Lounge, a day lounge that transitions into a Mediterranean dining experience by evening, and the Amber Terrace, a roo ftop bar overlooking the Aravalli hills. Just as an anecdote, Jamav ar has delivered 40% revenue growth since its relaunch in November ‘25 and we expect other restaurants to follow a similar trajectory.

Beyond F&B, we are elevating the guest experience with the introduction of an exclusive kids ’ club, a reimagined spa with bespoke wellness offerings under Au jasya, and the conversion of select villas into premium villas for multi- generational travel. This transformation strengthens





Jaipur's positioning as a prime luxury destination and marks the completion of the commitment we had articulated at the time of our IPO. Overall, on the back of these investments, our RevPAR in Jaipur grew by 27% in Q3 FY26, highlighting the importance of a holistic luxury ecosystem for the luxury traveller .

Similar to Jaipur, we continue to enhance our other properties and elevate guest experiences. Looking ahead, we reiterate our confidence in sustaining mid-to -high te en EBITDA growth over the next two-three years, driven by ADR and occupancy expansion, new F&B and spa outlets, launch of our members -only club ARQ in three new cities, and cost optimization initiatives.

In this quarter, we have continued our progress on strategic capital efficient growth. We have closed the Dubai transaction and now own 25% equity stake in the asset with an upcoming management contract. As a reminder, our total equity investment, includin g the upfront investment and the future CAPEX that we plan to do, is USD 70 million. This is expected to be fully recovered in 2 to 3 years through sale of our brand-new residences, making this effectively an asset -light investment. Furthermore, the 25% eq uity stake and the HMA contract is expected to generate Rs 180 crores in stabilized earnings.

We are also pleased to announce that we have signed a management agreement for a marquee 80-key luxury hotel in Jaisalmer. This hotel is scheduled to become operational by the end of this calendar year and will enhance our existing Rajasthan circuit. This brings us to three luxury hotels that we have added since IPO, Mumbai BKC, Dubai and Jaisalmer. These luxury hotels will contribute to nearly Rs 340 crores of stabilized earnings on an attributable basis with a net capital outlay of only Rs 1,650 crores, making this extremely accretive.

Overall, our expansion strategy remains firmly on track, supported by a pipeline of nine luxury hotels at this point in time, totalling over 1,000 keys, and we continue to evaluate opportunities that further complement our portfolio. O

ver the long term, we reaffirm our EBITDA target of Rs 2,000 crores by F Y30 through a combination of same -store growth and expansion.

Before we dive into the operating performance, I would like to touch upon the overall macroeconomic trends .

Macro trends :

India's luxury segment is entering a multi -decadal growth phase, and Leela's exclusive focus on pure luxury positions us uniquely to capitalize on these dynamics and sustain a clear competitive advantage. The demand -supply fundamentals are extremely attractive. The funnel of customers for luxury consumption in India continues to expand on the back of strong economic growth in the country. The international travel demand remains a potential upside for the luxury sector.

While the demand for luxury is growing at double digits, the supply in our micro markets remains muted, allowing Leela to capture outsized market share, presenting a strong run way for





both occupancies and rates to increase, resulting in both near -term and long -term same-store growth.

On the back of this context, now let's dive into our operating performance. The Leela continues to be the preferred luxury brand underpinned by our commitment to excellence, our services, which is reflected in our industry -leading voice of guests, NPS sc ore of 86. This quarter, our brand’s strength was further reinforced as several of our hotels were the first choice of high - profile weddings and global and marquee events, reaffirming our leadership in luxury hospitality.

For the nine -month F Y26, RevPAR has increased by 18% year -on-year to Rs 15,626, supported by a 13% growth in ADR and 3 percentage points improvement in occupancy to 68%, highlighting resilient luxury demand and a premium pricing power. Growth remains broad-based with both city and resort portfolios delivering strong double -digit RevPAR growth in 3rd Quarter FY26 as well as for the nine months of F Y26.

The Leela's commitment to excellence was reaffirmed through multiple global recognitions. The Leela Palace Udaipur is recognized as the best in India by Rob b Report Hong Kong, Best of the Best 2026 T ravel. Michelin keys were awarded to three of our palaces in New Delhi, Jaipur and Chennai. Outstanding recognition in Conde Nast Travel ler's Reader's Choice Awards with 40% of our portfolio featured including our hotels in Kovalam, Udaipur, Jaipur, Chennai and New Delhi.

Our strong operational and financial performance is underpinned by a highly engaged talent base and industry-leading development initiatives which have earned us great places to work recognition this quarter with an 88% response rate while continuing to st rengthen organizational capability and support an 82% retention rate for nine months F Y26. ESG remains an integral focus to our strategy. Today 65% of our energy consumption comes from green sources. Importantly this transition is also delivering financial benefits with our Q3 financial year power cost down 3% year -on-year and improved long-term operating efficiency. During the year we upcycled 2.2 metric tons of flower waste and sourced 48% of our tea consumption from carbon neutral estates reinforcing our commitment to responsible luxury.

I will now handover the call to Ravi Shankar our CFO and Head of Asset Management to take you through the financial highlights for the quarter and the nine months ended 31 st December 2025.

Ravi Shankar: Thank you, Anura ag. Good evening, everyone.

First starting with the quarterly performance:



Q3 FY26 once again underscored the strength, efficiency and scalability of the Leela platform combining strong top-line growth with disciplined capital management and a sharp focus on returns. In line with our strong R evPAR growth , operating revenues increased by 21 % YOY t o Rs. 457 crores while operating EBITDA rose to 23 % YOY to Rs . 238 crores resulting in the best-in-class EBITDA margin of 52% and improvement of 61 bps. Room revenue continued to deliver double -digit YOY growth driven by an 18% increase in the retail segment and a robust 45% growth in the group segment. PAT increased from Rs . 56 crores in Q3 FY25 to Rs . 148 crores driven mainly by EBITDA expansion and a reduction of finance costs making our fifth consecutive quarter of positive PAT.

Turning to nine -month performance:

We delivered strong growth with operating revenues increasing 16% YOY to Rs . 1,043 crores , operating EBITDA rose 22% YOY to Rs . 477 crores. EBITDA margin expanded by 231 bps to 46% with over 60% of incremental revenue converting to EBITDA reflecting robust operating leverage and disciplined cost management.

In terms of financing :

During the period we further renegotiated our term loans with our bankers bringing down the interest rate from 9.1% to 8.25%. This allow s us to benefit from a softer interest rate environment lowering our borrowing costs and enhancing the PAT while maintaining a strong balance sheet with ample headroom to fund future growth.

Before ending, Anura ag and I would like to express our gratitude to our incredible team of associates for their commitment to excellence, hard work and their constant endeavour to delight all our guests. Further details on our 3 rd Quarter Results can be found in our earnings release we issued earlier today. We can now open the floor for questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We take the first question from the line of Bina y from Morgan Stanley. Please go ahead.

Binay: Hi, team. Congratulations for another strong quarter. I have two questions. First is on the demand side. If you could comment a little bit about demand trends that you are seeing, because some of the data that we see at the city level is a little bit mixed, like Mumbai has been showing weakness, whereas markets like Delhi, B engaluru and all are quite strong. So, could you comment a little bit about what are the trends that you are seeing across cities?

Anuraag Bhatnagar: Thanks, Binay. From our perspective and basis the data that we have, we see the continuation of high double -digit demand across all the segments and across all the cities, both in city hotels as well as leisure destinations. I mean, if you take a step back and look at what's happening in India, if you look at the macroeconomic indicators, the growth in GDP, the economic values , the number of households that are coming into luxury consumption and the total addressable market and the growth of the upper funnel in terms of luxury consumption, we are at the beginning of a multi-year, multi- decadal demand growth in India. And we have not seen this impact across any of our hotels. If you look at our city hotels, the demand is growing in high double digits. The funnel for our resort destinations is also very high. So, we have not seen that being impacted anywhere, especially on the luxury si de. As we have always maintained, luxury consumption is relatively inelastic versus other sectors and other segments a nd we expect this trend to continue.

Binay: Thanks for that, team . And typically for you, March quarter tends to be the strongest, right? We see a sizable jump in the past between December occupancy to March , so, the similar trends are continuing for you?

Anuraag Bhatnagar: Absolutely. And if you see, every quarter -on-quarter, we have been growing in high double digits when it comes to Rev PAR growth led by both our ADR as well as occupancy growth, which shows that the demand is spread across all cities.

Ravi Shankar: Just to add, we are looking for a double -digit growth, at least in the ADR and Rev PAR in

the

quarter one of this year.

Binay: Thanks. And secondly, when I look at F&B revenues and management fees, F&B has accelerated from mid -teens to almost 29% growth this quarter. Management fees has been around 7%. Could you talk a little bit about what's happening over there, and especially the F&B bit? Is this a sustainable run rate? Was there any one- off that is driving this high growth in December quarter?

Ravi Shankar: Two parts. One is on the HMA. Actually, our HMA fees have grown YOY 17%. We had some one-off adjustment in last quarter, same time. As a result, we got a 7% increase. There was a huge banqueting event we had done for a wedding . Excluding that adjustment, we would be on a 17% Y OY increase on the HMA fees. Most of managed hotels did a double -digit ADR and RevPAR growth.

Anuraag Bhatnagar: And on F&B Binay, we have opened two new restaurants in this quarter, which will further give us results across the next 12 months and forward as well. We opened two new restaurants in Jaipur, the Amber Terrace, the rooftop restaurant that I was alluding to earlier, and the Peacock Lounge. And I also want to remind you that the restaurants that we repurposed and renovated in the previous quarters, stabilized in this quarter. For instance, the L e Cirque in New Delhi has shown a 40% growth in revenue year -on-year. The Qube, which was a three-meal atelier in the Leela Palace, New Delhi, has seen a 27% growth and Jamav ar, that I mentioned, a new restaurant in Leela Palace, Jaipur, has seen a 40% growth. F&B is a big part of our focus and our commitment to excellence in terms of creating value and offering and experiences for our customers. And we expect these trends to continue going forward into the few years.

Binay: Thanks, team. I will come back in the queue .


Moderator: Thank you. We take the next question from the line of Ka ran Khanna from Ambit Capital. Please go ahead.

Karan Khanna: Hi, Anura ag. Hi, Ravi. Thanks for the opportunity and congrats on a very strong quarter. My first question to you, Anur aag, 20% Rev PAR growth in the quarter seems very strong, given that the industry faced some headwinds in December. Two things. One, what were the numbers for October and November combined versus December? And secondly, the results seem nearly 30% YOY RevPAR growth. How much of this can be attributed to one of MICE activities that you had witnessed during the quarter?

Anuraag Bhatnagar: Thank you, Karan. I think, as I mentioned earlier, the growth has come across both city hotels as well as resorts. We have seen why the resorts, that this is typically the season of celebrations and high- profile events and mar quee events. So, there has been an upside both in terms of, as I mentioned, certain global events that have happened in Jaipur and in Udaipur. And we have seen this upside in resorts. But we have seen the similar high double -digit growth in our city hotels as well. And the ADR, like this is a season of extremely high demand. And being our focus on revenue and asset management, our dynamic pricing, our focus on quality and assurance, as well as service delivery, allows us, the wherewithal to be able to yield higher and optimize on this high demand in this particular season.

Ravi Shankar: And Karan, just to give you a specific number, our city hotels also have done almost 17% RevPAR growth, which is included in the 20%. Even if you look at nine months, our Rev PAR for city hotels are 16%. So, it shows our escalated growth, both for our city and resort hotels.

Karan Khanna: And then Ravi, just a number on October -November combined Rev PAR versus what you have seen in December.

Ravi Shankar: So, October -November, if we combine, then we will do almost a 21% growth on ADR and 24%

growth on Rev PAR . And occupancy will go by 1.6%.

Karan Khanna: Second question to the BKC property in slide #30 of the presentation, I was doing some math around the numbers. Is it safe to assume that you have been sitting in total stabilized revenue of around 480 crores at Rs 32,000 ARRs and 80% occupancy and firstly, when do you plan to achieve this number? And secondly, do you see any risk to the relatively high ARR expectation for this property?
Ravi Shankar: I will tell you, Karan, first, we are on track on this property. We already are paying lease premium on time and design is already in progress. The number that we are seeing, this will be in the second stabilized year, that number you are speaking on, we will be able to achieve in our second stabilized year occupancy of 80%.

Anuraag Bhatnagar: And we don't see any risk, Karan, because as you mentioned earlier, I mean, this market is so grossly underserved in terms of luxury supply and in terms of the inventory coming in. The last supply that came in this micro market was in 2011. It's been nearl y 15 years since there was a supply in this market. So, we are actually quite excitedly awaiting the opening of this hotel and there's no risk or any such thing that we foresee in the future.
Karan Khanna: Sure. Next question, Anura ag, we have seen about two large private equity deals happening in the past couple of weeks in the hospitality sector. From your perspective, can you talk about the acquisition landscape and if you are seeing any large acquisition opportunities that may be nearing completion. And if yes, is there a debt cap that you would not cross, especially given that the Dubai acquisitions have substantial debt that is attributable to Leela?
Anuraag Bhatnagar: Sorry, Karan, I couldn't hear you very clearly, but what I could make out of it, I mean, look, I can't really comment on the strategy and the business objectives of the other organizations. As far as Leela is concerned, we have pure focus on luxury. We are very strategic about our business
growth and development. We are always seeking opportunities that are value accretive and create shareholder and stakeholder value and create a network impact on the luxury side for our hotels. As we have seen a hugely accretive opportunity that we capitalized on in terms of Dubai and in BKC, and we continue on the same path. If you see every quarter, we have added keys. I mean, if we started in FY25 with 3,500 keys, we added 250 keys in BKC acquisition in first quarter of FY26. We added 546 keys of Dubai in second quarter of FY26 and 80 keys of Jaisalmer in the 3rd Quarter . And this is at this point in time. This is because we are, like I mentioned earlier, we have a strong pipeline and lots of discussions that we are actively engaged in and very much on track for the Rs 2,000 crore s EBITDA that we have given as a guidance for FY30.
Moderator: Thank you. We take the next question from the line of Murt uza Arsiwala from Kotak. Please go ahead.
Murtuza Arsiwala: Hi, sir. Congratulations on fantastic numbers. Just o ne question on the reported numbers, anything that we should read as maybe non-recurring or excessive in the other expenses this quarter. They seem to be higher, and we could have had an even higher margin profile, but for this larger other expense. Anythi ng on the expense side that needs to be called out. And the second is on Dubai. As we understand now, you have taken over the hotel. How should we think in terms of the milestones, in t erms of converting the brand to a Leela brand? When do the management fees start coming on board? And how should we think about the timelines in terms of villa sale, etc.? Just the roadmap to how the entire transition for the Dubai hotel would happen.
Anuraag Bhatnagar: Perhaps I can comment on the Dubai and Ravi will give you some more specifications on the financial s that you

brought up. Dubai, we closed the transaction on 26
th of November. So, the
current operator will be managing the hotel till December ’26 or so for this year, foresee within

this year. We have a planned upgrade in 2027. And we start operating the hotel from 2027. And we should be rebranding the hotel as the Leela in 2028 and we start earning management fees. It's a large asset, if I was to remind you, over 23 acres with four z ones. So, we would be very
efficient about our up grading and our planning.
Murtuza Arsiwala: All of these, when you say the Leela brand in 2028, I am assuming you are talking calendar year 2028.
Anuraag Bhatnagar: That's right.
Murtuza Arsiwala: And in terms of the villa sale, would that happen anytime earlier or how should we think of that?
Anuraag Bhatnagar: The progress on that is already initiated and I would say that this will happen over the next 2 or

3 years.
Ravi Shankar: Murtaza, on the other expenses, yes, there was some one-time expense in this quarter. But if you look at the entire nine -months quarter, we had a flow -through of more than 60%. And a very healthy profit in spite of having those one -time expenses, we had a 5 2% EBITDA margin, which is still healthy and we were able to have a margin expansion as well.
Murtuza Arsiwala: Would you want to quantify the one -time in this quarter?
Ravi Shankar: They were Rs 5-6 crores. If I remove the Rs 6-7 crores, it will be almost 26% [1]
Moderator: We take the next question from the line of Abhay Khaitan from Axis Capital.
Abhay Khaitan My question is again on the demand side. I know in the presentation; you have given out growth by retail and groups. But within that, if you can help me bifurcate for the city hotels, how much of the growth has come from the leisure side and how much of the growth has come from the corporate side? Just some color on that w ould be really helpful.
Anuraag Bhatnagar: City hotels, just to remind you that we have grown by 17%. And if I talk about specific segments, our city hotels are between 60% to 70 % of the business and that's a significant number. And within the segments, we have seen individual corporate travel increase. Everything has grown by double digits, high double digits. We have seen the corporate MICE increase and we have also seen the growth in terms of eve nts. So, it's a very broad-based growth. For instance, our retail segment has grown by 18%. Our group segments have grown overall by 45%. And our direct, which is a brand.com, which is the most efficient, and that shows the pull factor of the Leela brand has grown by 153%.

1 This needs to be read as growth in operating EBITDA


Abhay Khaitan: My second question is on the Jaisalmer property, which is another managed contract. So, when can we expect the fees to start coming in and how much is the expected quantum in FY27 and months of stabilization?
Anuraag Bhatnagar: So the hotel is undergoing an extensive PIP, although it's a ready- built hotel across 30 acres of land and beautifully positioned. But we are enhancing the product along with the owner s to make it an absolute luxury Leela and complete our Rajasthan circuit and strengthen it further. We are expecting the work to be completed by the season end of this year. And the fees, if you look at a trend, we are looking at close to Rs 6 odd crores in a stabilized year.
Moderator: We take the next question from the line of Achal Kumar from HSBC.
Achal Kumar: First of all, on your balance sheet, basically just wanted to understand about where are you in terms of comfort level? So, now you said Jaisalmer, it looks like it's going to be on the management contract. Had there been an option, would you have preferred to buy it? And in just extending that what kind of g

rowth we can see in terms of own ed properties? Are you still comfortable if you are getting an opportunity would you prefer to buy it? Would your balance sheet allow you to do that? If you could give a bit of a color on that, please.
Ravi Shankar: If we had an opportunity to buy Jaisalmer, we could have put equity, but it was the HMA contract, owner had enough funds and they already constructed the property and would give an entire halo effect to our brand with the network impact in Rajasthan hotel. So, w e went with the HMA contract. But if there are good deals available, which we are evaluating, which has good return metrics, yield on cost and ROE as per our benchmark, then we would be keen to invest, with a high ROCE if the deal justi fies the economics.
Achal Kumar: Just to confirm, I guess you confirmed previously that you are looking at some of the markets like Goa and all. Are you still looking at it? Are you still looking to buy some properties out there?
Ravi Shankar: Yes, we are still evaluating these in the key city and resort hotels.
Achal Kumar: My second question was on the demand again. So, basically, on slide # 37, you mentioned that there is a huge gap between the demand and supply, which definitely points to the very healthy equation. But how confident are you that despite the fact that the demand supply equation sits in your favor, you could still continue to increase your ARR? Looking at your ARR, your resort and city ARR over Rs 38,000 and all that, don't you think it's a very high ARR? Are you really confident that you continue to increase your ARR despite that demand supply balance?


Anuraag Bhatnagar: I will break it in two points. And thank you for this question. I was kind of hoping somebody would ask us that. Firstly, in the hotels in the cities where we are located, there is no real demand2 actually coming in our micro market. In most of the locations where we are located, that's point one. The iconic nature of our hotels, the build quality of our assets, and the market dominance that we have, gives us a huge competitive advantage as we have seen, as you mentioned yourself, to be able to command a pricing power. All the tailwinds are there to grow demand across all segments. And we have seen that year -on-year, quarter -on-quarter across all segments. From 70 million households, which could have consumed luxury in 2019, estimates are that there are going to be more than 200 million households by FY30 in India that can consume luxury. And India as a country today on the luxury side is severely and grossly underserved and under penetrated with less than 29,000 keys on the luxury side. So, there is definitely a big CAGR, a big delta between demand and supply. Demand is expected to grow at a macro level between 11% to 14% and the supply is in mid and low single digits. So, that's point number one. Secondly, our brand and product, which is backed by incredible service, which you have seen from a high net promoter score, allows us to create that experience that allows us to charge at higher rates because of the overall value proposition that we offer to all our guests. The holistic luxury ecosystem that we have refined and fine-tuned over the years enables us to charge that premium. And we have seen that across not just this season and this quarter, but even the previous quarters as well. And the third da ta point I would like to bring to your attention, the events that impacted the sector, I would say in the last nine months, whether it was O peration Sindoor, whether it was that airlines [3] that happened with a particular airline, did not impact Leela. Leela as a segment and as a brand has been resilient to all of these. So, that kind of reinforces our thesis that luxury is relatively inelastic compared to other segments in the sector. It reflects the size of the lux ury consumer.

Achal Kumar: My final question was about the 1st Quarter. Although your full year guidance points to how you are thinking about the Q4, I just want to understand because the Q4, we will have on the headwind side, probably last year you had Maha Kumbh and all. So, the demand was strong. You are not prese nt in some of those cities, but of course, overall demand was strong. But then on the other side, you have the T20 World Cup and AI Conference in Delhi and all. On the balance, how do you see Q4? Do you see exceptionally strong because of these, or do you see because of headwinds probably we could see some balance growth. How do you see the Q4?

Ravi Shankar: Q4 also we will have a great quarter, Jan to March. And if I tell you, we will be looking at a double -digit growth on both AD R and the RevPAR side.

Anuraag Bhatnagar: Typically, historically, if you look at the trend, Q4 is even stronger in absolutes than Q3. If you look at as a cycle as well.

2 This needs to be read as supply instead of demand
3 This needs to be r ead as disruption instead of airlines



Moderator: We take the next question from the line of Sumit Kumar from JM Financial.

Sumit Kumar: My first question relates to the growth investments. There was a sort of capital outlay for certain asset management initiatives outlined in the RHP that was roughly about Rs 450 crores odd which includes expansion of certain rooms, upgradation of amenities and some solar parks. What is the status on that Rs 430 crores if that's being spent, and how much of that is still remaining? And the second is if you can give an update on the construction status of your five assets, excluding Dubai and BK C, the ones that are coming up elsewhere in Ayodhya and so on so forth.

Ravi Shankar: The CAPEX that we had in the prospectus for our value drivers that already been invested, majority of it. If you see a lot of our value drivers are already operational. The Arq in Be ngaluru is already operational. Delhi is getting operational in March. Chennai will get operational in April. So, most of the CAPEX has already been invested. The new restaurant in Jaipur has come in operation. Delhi, we have the conservatory which is coming in the next quarter, plus the new five rooms at Udaipur are already operational. Spa in Jaipur is operational. So, almost all the CAPEX has been spent and almost 10% is remaining that we will spend in this quarter, Sumit.

Sumit Kumar: On the construction update for those five assets?

Ravi Shankar: The good part and the good news is that we have got approvals for all the five hotels. And we have already started the construction for each one of the hotels. The most difficult approval was Agra, because the hotel was near to Taj. That approval also we h ave received in November and the construction has started. So, all five hotels, construction is already in swing.

Sumit Kumar: The second question on Leela A rq, how much have you collected in, say, in the last quarter for the club business? Is there any revenue contribution coming in 3Q from that?

Ravi Shankar: We have already launched Be ngaluru, that was a soft launch. 1st January only we will start

generating revenues from Leela Be ngaluru Arq Club. We have already signed a good number of
members because it is invite only, we are not trying to reach and sign every member. So, very
selective list of members are being enrolled into. Once we have Delhi and Chennai, then it will
be more of a network impact where you can enrol more members to give services on an all -India
basis rather than on one club ba sis.
Moderator: We take the next question from the line of Dipak Saha from Nirmal Bang Institutional Equities.
Dipak Saha: For the F&B growth of 29% that we have seen for the quarter, how much of that would be driven by high profile events that we had for

the quarter and basically trying to understand whether this kind of a growth rate sticks out for the coming quarters, espec ially, say, Q4. So, just on the
sustainability of the F&B side.

Anuraag Bhatnagar: Nearly 70% of the growth has come at a run rate and events happen every year for the Leela.
Every year in season, in peak season, we have either global delegations coming in or heads of
state visits or some big marquee events or a wedding celebration. So, I won't say there's any
specific delta that has been created this particular quarter or it's actually run rate business as
usual for us. But to your specific question, nearly 70% -75% of this alpha has been created
through our restaurants , lounges and bars and the balance has come from events and banqueting
and the new restaurants that I mentioned to you. But the impact of the new restaurant s has been
basically just for one month. So, the next whole year and the near future, you will see the impact
of the new restaurants that we have launched.
Ravi Shankar: And just to add, this will give us a recurring increase in our F&B revenues because we are able
to increase our APCs by almost 12% in this quarter.
Anuraag Bhatnagar: And 17% growth in our footfall for non-resident guests.
Dipak Saha: Ravi, if you can just a little bit help us understand what's the gross debt position? Is there any
difference compared to where we were in H1 FY26 and where we are currently?
Ravi Shankar: If I tell you on the debt position, we are right now at Rs 1,400 crores of gross debt and cash, we
have around Rs 600 crores to 700 crores of cash sitting with us. So, that's the gross and net debt
position. We have used around Rs 400 crores to pay for the Dubai acquisition.
Dipak Saha: Coming to the pipeline of owned assets, excluding BKC, I mean, just an extension to the
previous question. If you could pinpoint out of this Srinagar, Agra, Ranthambore, Bandhavgarh
and Ayodhya, which one is likely to come early FY28, say, first half and w hich one, say, second
half? Anything if you can share?
Anuraag Bhatnagar: I think if we were to structure the opening of these hotels, Srinagar is more advanced today than
Agra. Because it's already a kind of a brownfield work for us. The demolition work is far really
executed. The design approvals have been received. Our proper ty management teams are on site.
Agra, we have broken ground. So, we expect Srinagar to come in first and also Bandhavgarh,
we believe, will also come in very early in FY28 because Bandhavgarh, the number of villas and
the tents that we are putting out on the luxury side would also come in earlier. The Mumbai, the Waterstone, the Leela luxury residences, we are expecting that to come towards the end of this
calendar year for CY26. Jaisalmer, I have already spoken about. So, I can see that even in FY28,
all our assets are spread in such a way so that we can open hot. And in Leela, our turnaround
time, and given the fact that majority of these hotels are owned by us, we have the advantage
and the opportunity to put up a pre -opening team, sal es distribution, which actually saves us six
odd months in terms of ramp- up time of these hotels.
Dipak Saha: Last question from my end, a little bit on a longer -term basis, given the entire industry seeing
such a heavy pipeline, from talent retention and sourcing point of view, do you see any

challenge? What's your view given such a strong pipeline is there for us, for the industry? What's
your view on talent sourcing?
Anuraag Bhatnagar: I think talent has been a very big focus for us and continues to be so. Like I have always said that we have institutionalized both our talent retention, upskilling, and development to ensure
that we always have the best talent serving o

ur guests. And that is reflected in two data points.
One is our highest net promoter score, which is 86, which is not just the highest in India, but
also amongst the highest in Asia -Pacific. Second is our retention rate of 82. This is what we
focus on. And we are looking forward. And this year, we have also been ascribed as the great
places of work. So, talent remains a very open and very strong focus for us. And we are having
this talent across all cohorts of a service excellence. And we will be announcing very soon our

focus in terms of further institutionalizing what we want to do with our talent.
Dipak Saha: What I was trying to understand, are we seeing any challenge as far as the sourcing path is concerned?
Anuraag Bhatnagar: Not really. We recently launched our fourth batch of our management training Leela Leadership Development Program. For 35 positions that we have in the Company , we have received more than 1350 applicants, eligible applicants and qualified applicants. And we see that across every position that comes up. Whilst there is a lot of focus in terms of developing talent from within, but when we need to source talents, and right now, we have three likely openings going forward into the next year and we are seeing a very active demand coming in, in terms of talent acquisition, supply actually.
Moderator: We take the next question from the line of Nikhil from Kizuna Wealth.
Nikhil: My first question is for a stable hotel, what is our targeted occupancy over there? Like for a stable city hotel, the stable leisure hotel, what is the targeted occupancy that we target?
Ravi Shankar : In a city hotel, depends on the location, whether an airport hotel or CBD, generally, you tend to do 75% to 78% occupancy in a stabilized year. Resort should be in the right location; you do around 65% occupancy.
Nikhil: On the ADR front, I want to ask, we have seen a good growth in ADR. Going forward with the luxury demand thesis in place, can we assume that we are going to have a double-digit ADR growth? Is it going to be likely on the lower teens or mid-teens?
Ravi Shankar : With the assets and the service culture, the NPS scores that we have, the distribution system, we do target 9 % to 10% of ADR growth year -on-year. That's our target.
Moderator: We take the next question from the line of Sreetika Ray Mohapatra from JP Morgan.

Sreetika Mohapatra: My question is regarding your strategy around building the circuits and micro clusters that you have managed to build. I think you highlighted that well in your presentation as well, where you now have a very clear set of hotels across Delhi, Jaipur, Udaip ur and now Jaisalmer also coming in. Are there any such opportunities that you are currently seeing around your existing portfolio? Any particular regions that may potentially emerge as such circuits or clusters in the future?
Anuraag Bhatnagar: You are absolutely right. The way we have seen travel trends, especially from international travellers coming into India, we have seen the average length of stay between 8 to 10 nights at the Leela hotels. Hence, the circuits and the clusters that you have talked about work very well. The Leela Palace Trails, an itinerary -based program and experience-based program that we had launched in 2023, has been extremely popular in our international markets and that allows the guests to stay acros s three Leela hotels over a span of 7 to 10 days. And we are strengthening the circuit with the inclusion of Leela Palace Agra, which is there in our pipeline. Likewise, we have a Leela Palace Trail for the south of India, given our spread and portfolio across Be ngaluru, Chennai, Hyderabad, Kovalam and Ashtamudi. We definitely expect that with our properties coming up in Jaisalmer, this Rajasthan circuit to get further strengthened, plus the new foray of luxury exp

eriences, the wildlife. The wildlife segmen t attracts a completely different clientele who would travel only to experience our wildlife destinations. With both Bandhavgarh and Ranthambore getting added on to our portfolio, we definitely expect this segment to grow. So, we are growing on heritage be tween Agra and Ayodhya. We are focusing on wildlife and all of this present opportunities of building a circuit.
Sreetika Mohapatra: Also, since you mentioned the international traveller visit being structured across a longer period through your hotels and your in-house program as well, are you seeing any changes or improvement to the international visitor mix in your portfolio? Are the re any early signs? Because we are still seeing a lag and a weakness in the FTA numbers that are reported. Of course, we get these numbers with the lag. But are you seeing any material changes or any significant pickup when it comes to your portfolio hotels?
Anuraag Bhatnagar: So business hotels are in line with what they were earlier. So, to give you an example, nearly 70% of our business mix in Leela Palace, Bengaluru is from international markets. In Chennai, 65%
4. In Leela Palace, New Delhi around 6 5%5. But on the leisure hotels, we have not seen the typical seasonal uptake that would have happened from international markets. And we all know the reasons. But that being said, the domestic has grown phenomenally to take care of that requirement. Overall, as a mix, at the H1 year mark, we were at a 50 -50 mix of international and domestic business. And in Quarter 3, what we have seen is the international mix is close to 51% or 52%. So, marginal shift. But you are absolutely right. We really expect that this international business presents an opportunity and Leela is best placed, given our global recognition, the

4 This needs to be read as nearly 40% instead of 65%
5 Not mentioned during the call - added here

awards that we have won at a global platform, and historically our propensity to do this kind of luxury business. We are very well placed to capture this demand as and when it represents.
Sreetika Mohapatra: One final question from my side. The Sofitel Dubai acquisition has been an international foray for you. But any other geographies which are under consideration or maybe at advanced stages that could potentially come up in the coming two fiscal years?
Anuraag Bhatnagar: You know very well that we cannot say that right now. But thank you. And look, we are actively, almost all good opportunities, they come to us. India is so grossly underpenetrated when it comes to luxury focus. And our performance is also giving a lot of c onfidence to our counterparties. And we are working on several expressions of interest as we speak. And hopefully going forward in the future quarters, we will be letting you know. India remains a very big focus for us because there are several opportunities that we are evaluating as we speak.
Moderator: We take the next question from the line of Achal Kumar from HSBC.
Achal Kumar: You mentioned that you have gained 15 points market share, on that point, what is your current market share, if I may ask, please?
Ravi Shankar: Our current market share for Leela is 147 RGI Index. So, we are 47% more than the market if the luxury market in India was 100. That's from CoStar , April to November '25.
Moderator: Thank you. Ladies and gentlemen, with that we conclude the question-and -answer session. I now hand the conference over to the management for their closing comments.
Anuraag Bhatnagar: Thank you, everyone. This being the first call for the new year, once again, I wish you and your family a very happy new year. We are extremely happy with the performance and especially thank all our associates who are striving ceaselessly to deliver our commitment to excellence and the se phenome

nal performances quarter after quarter. And as India continues to grow the focus on luxury, we definitely believe that we are very well poised for the next few quarters as well. Thank you all.
Moderator: Thank you. On behalf of Leela Palaces Hotels & Resorts Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Note : This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

# Call: May 2026

LEELA PALACES HOTELS & RESORTS LIMITED
(formerly known as Schloss Bangalore Limited)
(formerly known as Schloss Bangalore Private Limited)
Registered Office: The Leela Palace, Diplomatic Enclave, Africa Avenue, Netaji Nagar New Delhi South Delhi 110023
Tel No. +91 (11) 39331234 Email Id: cs@theleela.com CIN: L55209DL2019PLC347492 Website: www.theleela.com

Ref No. THELEELA/ 2026 -27/014
Date: May 06, 2026
To

Sr. General Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400001
Scrip Code - 544408
ISIN - INE0AQ201015 To

Sr. General Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Symbol - THELEELA
ISIN - INE0AQ201015

Sub: Transcript of the Analysts / Institutional Call

Dear Sir/ Madam,

In continuation to our letter dated April 23, 2026 and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q 4'FY26 Earnings Conference Call held on April 28, 2026 .

The above information will also be available on the website of the Company at www.theleela.com/investors .

We request you to kindly take the above on record.

Thanking you,

For Leela Palaces Hotels & Resorts Limited
(formerly known as Schloss Bangalore Limited)
(formerly known as Schloss Bangalore Private Limited)

______________________________
Jyoti Maheshwari
Company Secretary and Compliance Officer
Membership No.: A24469

Encl.: as Above



Leela Palaces Hotels & Resorts Limited
(formerly known as Schloss Bangalore Limited)
Q4 FY26 Earnings Call
April 28, 202 6

MANAGEMENT : MR. ANURAAG BHATNAGAR – WHOLE -TIME

DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. RAVI SHANKAR – HEAD-ASSET MANAGEMENT
AND CHIEF FINANCIAL OFFICER
MR. ABHISHEK AGARWAL – SENIOR VICE PRESIDENT -
FINANCIAL PLANNING & ANALYSIS AND INVESTOR
RELATIONS


Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY26 Earnings Call of Leela Palaces Hotels and Resorts Limited. As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star , then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal from The Leela. Thank you and over to you, sir.

Abhishek Agarwal: Thank you, operator. Good evening, everyone. I am Abhishek Agarwal, Senior VP FP&A and Investor Relations. Welcome to the Global Earnings Call for the Q4 and FY26 results of Leela Palaces Hotels and Resorts Limited, India's only pure -play luxury hospitality company. We have published our results and uploaded the investor presentation on exchanges earlier today, and you can also find it on the com pany website, www.theleela.com/investors.

Before we start, a disclaimer. We would like to inform you that the management may make certain comments on this call that one could deem forward -looking statements. Specifically, the financial guidance and proforma information that we will provide on thi s call are management estimates based on certain assumptions and have not been subjected to any audit, review, or examination procedure.

The company does not guarantee these statements and is not obliged to update them at any time. Participants are cautioned not to place undue reliance on these forward -looking statements while making the investment decision s.

To answer your questions and take you through the story, we have the senior management of The Leela on the conference call. Joining me today are Mr. Anuraag Bhatnagar , Whole -time Director and CEO, and Mr. Ravi Shankar, Head of Asset Management and CFO.

Without further ado, I would like to hand over the call to Mr. Bhatnagar. Over to you, Anura ag.

Anuraag Bhatnagar: Thank you, Abhishek. Pleased to have you with us as we further strengthen how we engage with our stakeholders alongside the next phase of Leela's growth. Good evening, everyone, and thank you for joining us.

Leela for FY26 has been a transformational year, defined by strong financial and operational performance, disciplined and consistent execution, and sustained leadership in Indian luxury hospitality. We have outpaced the industry in growth and margins , and also had the highest ever annual key expansions in our portfolio. Importantly, this performance was delivered in a year characterized by elevated external volatility, underscoring the resilience of both our brand and our operating platform.

Let me begin with the macro context and the key performance highlighting that context. FY26 was the year , in which the Indian hotel industry navigated multiple headwinds across aviation disruptions and geopolitical events. Against the backdrop of the Middle East conflict, in Q4 FY26, The Leela delivered double -digit growth in operating revenue and operating E BITDA. This performance was underpinned by a 15% year -on-year increase in ADR, reflecting The

Leela's strong consumer pull, brand , pricing power, and disciplined execution. Together, these results reaffirm the brand's premium positioning and its ability to deliver superior commercial outcomes even in a challenging operating environment.

Our business has been rooted in the thesis that our demand is more resilient, and the previous quarter underscores the same. While occupancy in March took a hit due to international travel being disrupted, we continued to grow ADRs in double digits. Domest ic demand remains robust, and we have focused on it to offset the im

pact on international inbounds.

In past instances of disruption like Operation Sindoor , occupancy bounced back quickly to previous levels, and we remain confident that the current impact will get mitigated once the situation normalizes. The structural drivers of luxury hospitality demand in India remain firmly intact, and the outlook contin ues to be compelling, supported by rising aspirational spending, wealth creation, and a growing cohort of experiential luxury consumers. Importantly, new luxury supply in The Leela's key micro -markets remains constrained.

This has enabled us to consistently outperform the market, drive market share gains, and sustain improvements in both occupancy and pricing. Together, these factors underpin strong same -store growth over the medium to long -term.

Taking you through the highlights of FY26, at The Leela, guest experience is the bedrock of all performance outcomes and are defining differentiator. For FY26, we recorded a Net Promoter Score of 86, maintaining our position as the highest -rated luxury hospitality brand in India.

Importantly, we extended our lead to 12 points above the Asia Pacific Luxury Industry average.

This sustained multi -year outperformance , reflects the consistency of our service delivery and the depth of our brand equity, directly supporting long -term pricing power. We also delivered significant market share gains, continuing to outperform the broader luxury segment in India.

In FY26, The Leela achieved 11 points increase in market share, with our RevPAR index strengthening to 150. Notably, our RevPAR growth exceeded industry by more than two times, supported by double -digit growth and market share expansion across both key city markets and leisure destinations. This translates into a RevPAR premium of approximately INR 6,000 over the India Luxury segment.

Overall, in FY26, our same -store RevPAR increased 14%, supported by double -digit growth across all five owned palaces , and an overall 13% increase in ADR. The operating leverage from this pricing -led growth resulted in a 19% year -on-year increase in operating EBITDA, with margin expanding by 167 bps to a best -in-class 49%. This operating momentum culminated in a record profit after tax of INR 403 crores in FY26, representing a decisive turnaround from a PAT of INR 48 crores in FY25. This 8.5x increase in pr ofitability underscores the structural strengthening of the business, driven by sustained same -store RevPAR growth, targeted asset enhancements, key portfolio additions, and reduction in finance costs.

From an expansion standpoint, FY26 marked Leela's fastest pace of expansion ever with 23% growth in keys, totalling to a visibility of 966 additional keys. These additions came across



Mumbai BKC, Dubai, Jaisalmer, and Coorg, and will strengthen our presence across marquee urban and leisure destinations.

Our net debt reduced by 50%, with net debt to EBITDA now at a conservative 1.6x in FY26. Supported by a strong AA credit rating and strong cash conversion, we now operate with meaningful financial headroom to fund expansion and manage future capex , while maintaining flexibility across cycles.

Giving you some more colour into our operating performance and growth plans, our non -room revenue , our focus on F&B excellence continued to deliver results in FY26. F&B revenues grew 15% year -on-year, driven by strong performance across both restaurants and banqueting. This growth was supported by approximately 13% increase in non -resident footfalls across the city hotels, reflecting the increasing relevance of The Leela as a destination for dining, events, and experiences beyond resident guests. Consequently, non -resident covers now constitute 54% of the total cover mix at our city hotels.

We have continued our progress on strategic growth and expansio

n of The Leela footprint.

During fourth quarter of FY26, The Leela strengthened its leisure portfolio with the acquisition of 71 key ultra -luxury all -villa operational resort in Coorg, to be un veiled as The Leela Coorg Forest Sanctuary, making our entry into nature immersive and wellness -anchored hospitality.

We are very excited about this hotel addition as it's a unique hotel built to Leela standards across 76 acres and with 25 rooms having hea ted pools.

The programming of this hotel will offer multi -day experiences for a multi -generational family.

This acquisition reinforces our strategy of disciplined, high return expansion into premium leisure destinations and underscores our focus on value -accretive growth. In addition, we are all set to open The Leela Jaisalmer and The Leela Luxury Residences Mumbai in FY27.

We continue to deliver growth in our portfolio additions. The Leela Hyderabad, a managed hotel , which opened in FY 2025, demonstrated strong operating leverage by achieving healthy margin within its first year of operations, operating at 62% occupancy in first fiscal year of launch , and delivering an average daily rate , which is 1.24x compared to its peer set. We continue to actively evaluate value -accretive opportunities that complement our portfolio and reinforce The Leela's positioning across India's mo st iconic and high growth markets.

Our greenfield development agenda continues to progress steadily. Construction activity and execution milestones are advancing on plan across Bandhavgarh, Srinagar, Sikkim, Agra, Ayodhya, and Ranthambore, with progress across design development, demolitio n, excavation, piling, and site preparation and structural works.

The Leela continues to be recognized as the leader in luxury hospitality across global and domestic platforms. We were once again voted India's Best Hotel Group at the Travel + Leisure

India Best Awards 2025 for the sixth consecutive year, which is a strong endorsement of our sustained consumer preference.
We also received the Michelin Keys 2025 for The Leela Palace New Delhi, The Leela Palace Jaipur, and The Leela Palace Chennai, placing these hotels in a globally benchmarked league.



On the F&B front, ZLB23 at The Leela Palace Bengaluru continues to feature across 30 Best Bars in India and Asia's 50 Best Bars 2025, alongside continued recognition for Le Cirque, The Library Bar, and Megu. Overall, these recognitions reinforce the strength of our brand and the consistency of our delivery across key experiential pillars.
People remain at the heart of our success. During FY26, we reinforced our position as an employer of choice through industry leading , talent development initiatives and onboarded 45 future leaders through our Leela Leadership Development Programs. This year, we also achieved Great Place to Work recognition. We are also preparing for the launch of The Leela Centre of Excellence, our dedicated learning infrastructure.
During FY26, we remained committed to our ESG philosophy, creating long -term value while delivering experiences that are both luxurious and responsible. We commissioned 2.25 megawatts of solar capacity at The Leela Palace Chennai, increasing our green energy usage to 67% of our total consumption, while reducing power and fuel cost to 3% of operating revenues , from 3.3% in FY25, enhancing long -term operating efficiency.
We advanced our social impact initiatives by supporting the livelihoods of 1,000 plus women through upcycling three metric tons of floral waste, sourcing 45% of our tea from carbon -neutral estates, and transitioning to 100% artisan -made jute bags, reinforcing our commitment to responsible luxury.
This is a very important year for us. As we enter the new financial year, we are very pleased to share with you that The Leela has now completed four decades of

customer love and trust, four
decades of true Indian luxury. The 40th year serves as a strategic platform to reinforce the brand's leadership in true Indian luxury, leveraging four decades of heritage and excellence. We will deepen guest engagement, strengthen brand visibility, and accelerate premiumization through curated experiences and differenti ated storytelling across the portfolio.
I will now hand over the call to Mr. Ravi Shankar, our CFO and Head of Asset Management, to take you through the financial highlights for the quarter and the year ended 31st March , 2026.
Ravi Shankar: Thank you, Anuraag . Good evening, everyone. Let me take you through the financial performance for the quarter and the year ended 31st March , 2026. Quarter four FY26 once again highlighted the strength efficiency and the resilience of The Leela platform. In line with the strong ADR momentum, operating revenue increased 12% Y-o-Y to INR 484 crores , while the operating EBITDA rose 13% Y-o-Y to INR 266 crores , delivering a best -in-class EBITDA margin of 55% and expansion of 57 basis points. PAT increased from I NR 117 crores in quarter four FY25 to INR 172 crores .
Turning to FY26 performance, the company reported a robust all -round performance driven by improvement in both ADR and occupancy. Strong momentum in the retail and group segments supported a double -digit RevPAR growth across both city hotels and resort pro perties. This drove operating revenue up 15% Y-o-Y to INR 1,527 crores .



Operating EBITDA rose 19% Y-o-Y to INR 743 crores , with margin expanding by 167 bps to 49%, again best -in-class. Over 60% of the incremental revenue converted to operating EBITDA, reflecting robust operating leverage and disciplined cost management.
Active asset management continues to be a key pillar of value creation at The Leela, with the focus on enhancing guest experience, unlocking incremental revenue streams and EBITDA, and improving the asset level returns.
During FY26, we progressed multiple value -accretive initiatives across the portfolio, including: launch of ARQ BY THE LEELA at The Leela Palace Bengaluru, our invite -only ultra -luxury membership club. With the development work at advanced stages, ARQ is slated to open in New Delhi in quarter one FY27 , and in Chennai in quarter two FY27, followed by Mumbai in the later part of the year, expanding this high -engagement platform across key markets.
We also refurbished and added seven F&B outlets across The Leela Palace New Delhi, Jaipur, and other locations. We relaunched approximately 34,000 square feet of high -end retail space at Leela Palace Bengaluru, 100% occupied , Reimagined spa and wellness offering at The Leela Palace Jaipur , our wellness initiatives are being expanded to Bengaluru as well , introduction of exclusive kids club at Leela Palace Jaipur and Udaipur , Conversion of select villas into premium

private villas catering to multi -generational travel at The Leela Palace Jaipur.
These initiatives are being executed with disciplined capital allocation and are targeted to deliver a projected yield on cost of approximately 25%, reinforcing our focus on driving high returns from existing assets , while strengthening the long -term quality and durability of the earnings.
To summarize, FY26 demonstrated The Leela's ability to outperform the industry with resilience and consistency despite geopolitical challenges. The continued expansion of The Leela footprint takes our portfolio to over 5,200 luxury keys across 24 properties, spanning 15 operational hotels and nine in the pipeline. Our balanced mix of owned and managed keys enables disciplined capital deployment while expanding reach and scale.
Before concluding, we would like to thank all our associates for their unwavering commitment to excellence and guest delight.
Abhishek Ag

arwal: Thanks, Anuraag and Ravi. Operator, we can start the Q&A session now.
Moderator: Thank you. We will now begin the question -and-answer session. [Operator Instructions] Our first question comes from the line of Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh: Hi team, congrats for good set of numbers given the environment we are in. Could you throw a bit more light on how were trends in March , because we see quite a sharp drop in occupancy , whereas , the war impact could have been only there for one month? So , could you specifically share some trends on March and how is April, May also trending? That will be the first question.
Anuraag Bhatnagar: Hi Binay, good evening. The West Asia war has had an impact on travel as we all know, both inbound and outbound. So just to give some context, Leela has almost a 50%-50% share in terms



of both international and domestic business. Our domestic business has not been impacted at all, and whilst some part of our international business has been impacted from a key source market.
Just for context, d espite the disruption for the overall quarter, we have achieved a 15% ADR growth and a 6% RevPAR growth year -on-year, despite the disruption in the month of March.
What we have also done … we have strengthened our domestic customer base, which has allowed our occupancy in April to recover, to answer your question, to similar levels as last year , and healthy RevPAR growth versus same time last year.
This is also basis on the strength of our robust sales and distribution channels in India where we have over 30 0 person sales associates, nine regional sales offices, and revenue members on the ground that control nearly two -thirds of our revenue , which comes from our direct channels.
We continue to be very nimble, keep watching the situation very closely, and keep working with agility on all the segmentation, and we expect the domestic market to remain a strong opportunity for future growth as well as we approach the holiday season, wh ile the inbound presents a future opportunity given the strong brand recall and the brand love that we have from our key source markets post stabilization.
Binay Singh: Thanks for that . But just to , sort of , in terms of any numbers on how March is and how , like, so March would have been down double -digit for us and then in April are we talking about high single digit RevPAR growth?
Anuraag Bhatnagar: So March, yes, there was an impact on occupancy. I would say because some of our key source markets like US and UK, there was an impact in terms of occupancy, but our resilience on a pricing power and all that allowed us to mitigate that impact of occupan cy through our ADR.
But as I mentioned, in April, we have seen the pace come back to same time last year levels, but we definitely expect maybe a high single digit or early double -digit growth in the month of April.
Binay Singh: Okay . So, we are saying that the high single digit RevPAR growth in the month of April, which in a way is a good outcome compared to March ?
Ravi Shankar : But Binay, just to add, May and June will be very exceptional good performance months for us and for the quarter we will do a double -digit growth in revenues and EBITDA.
Anuraag Bhatnagar: Also Binay, for context, if you look at it, the only segment for us that was impacted was international, and H1 typically, if you talk the next six months is almost one -third of H2 in terms of the impact that it has on our overall business plan. So , we are very resilient in that sense , Yes.
Binay Singh: And typically – and international contribution also would be lower for you in this quarter, right, given the weather?
Anuraag Bhatnagar: So, it's dropped from a 50% share to around 40 -odd-percent share where our domestic has risen to approximately 60%.
Binay Singh:

Right, right. Secondly , team, could you share the management fees number for the quarter and the year?

Ravi Shankar: So, the management fees for the full year we have done approx management fees of INR 95 crores we have done, and we are looking towards the next year , we'll have a growth again because our managed hotels will have ramped up. So then we have improvement in the whole management fees , because Hyderabad hotel has ramped up to almost 62% occupancy, when the managed hotels, some of the key hotels are doing well. So that will have a double -digit growth in our management fees as well moving forward.
Binay Singh: Okay , team, I'll come back in the queue.
Moderator: Thank you. The next question comes from the line of Karan from Ambit Capital. Please go ahead.
Karan: Yes, hi. Thanks for the opportunity. Just a couple of questions from my side. Anuraag , firstly, have you seen any meaningful cancellations or postponements in MICE Events due to the evolving geopolitical environment, and are these events getting deferred into upcoming quarters , or are being lost altogether?
Anuraag Bhatnagar: So, Karan, thanks, great question. We , obviously , had cancellations in MICE Events that were booked across the portfolio in the month of March , because of all the geopolitical tensions. What we did, we have given them credit notes and deferred them between the next six to nine months, so we expect many of them, a very high percentage of them coming back to us in the next few quarters.
Karan: Sure. And then secondly on the Coorg acquisition, how's been the initial response, and when you say INR 170 crore s of stabilized revenue, what kind of ARRs are you pencilling in for that number, and also does that include the 19 villa expansion in Phase 1?
Anuraag Bhatnagar: So Coorg, Karan, just to take you back is like we have recently acquired Coorg on 18th of March as you know. So right now , our focus is to whilst the real estate is amazing and the asset quality is extremely good, it's fully built up on Leela standards with a seven -acre lake and an all -villa property. Right now , there's a lot of work happening, lot of training happening in terms of soft aspects, something that Leela is known for. This is our first foray into a forest sanctuary experientia l destination product; hence we are very, very excited about it.
These are right now simulations and early guest feedback has been very, very positive about the asset, and we have not rebranded it yet. There's a site visit and evaluation happening as we progress, and we are looking forward to rebrand it at the end of this quarter , or early next quarter as a full -fledged Leela Forest Sanctuary, and that is when we expect all our distribution to start kicking in and with all The Leela, you know, in terms of loyalty programs and the key customers and all of that.
The initial response and the guest feedback has been very, very encouraging, although it's not yet been rebranded. Several touchpoints are experiential , which are catering to the next generation travellers , MICE, wellness -seeking travellers , and even people who are seeking longer itineraries to experience the entire ecosystem in the destination. This is the kind of funnel that we are already building up going forward.



And to your specific question in terms of expansion, once we open the hotel and stabilize, we 'll definitely evaluate , because just to remind you, only 20 acres out of these 76 acres has been used up right now. So , we definitely see an opportunity to do that, but we'll come back to you at a right time , because right now our focus is to open it on brand and open it soon as The Leela Forest Sanctuary.
Karan: Sure. And last question to you Ravi, for Ayodhya, Agra, and Rant

hambore, we are now looking at CY28 instead of FY28, so is there a slight delay here ? And also if you could talk a bit about the cost inflation that you might be seeing in terms of construction cost , and then how are you looking at the capex number for FY27 and '28?
Ravi Shankar: So just to answer in terms of these three hotels, we have just put CY , basis one or two quarters of construction risk always moves because of the approval when you open the hotel . All the approvals of all these three hotels are already in place ; the funding is already in place, the construction has started. So that's the reason we have, you know, it's all on pace. The capex numbers for these hotels remains the same, there is no escalation in the cost, Karan . So the numbers remain the same.
Karan: Great. Thanks Ravi . Thanks , Anuraag , and all the best.
Ravi Shankar: Thank you, Karan.
Moderator: Thank you. The next question comes from the line of Dipak Saha from Ashika Institutional Equities. Please go ahead.
Dipak Saha : Yes, hi. Thanks for the opportunity. So , first question is , if you can highlight, I mean, overall revenue growth mid -double digit and RevPAR growth 6%. So , the faster element of growth is coming from F&B , or management fees for the quarter?

Ravi Shankar: So F&B also contributes 40% of the hotel revenue. If you see our F&B , banquet grew by more than 10%, F&B is close to a double -digit growth, and even our managed hotel income has also improved with Hyderabad property ramping up to the full potential of almost 62% and ADR growth almost 1.2 x of the market. And we also got additional HMA fees from our hotels because of the contract terms that we have. As a result, we have been able to get a double -digit revenue and EBITDA growth.
Dipak Saha : And just a follow -up on that. Sir, then in the F&B growth side, the non -guest footfalls are higher , I mean, are quite significant in alignment with what we saw last quarter?
Ravi Shankar: Yes, our non -resident covers have increased by almost 9% to 10% for the quarter , and for the full year they have almost grown by 12%. So , our focus continues in driving both non -resident covers and growing our in -house capture ratio.
Anuraag Bhatnagar: See Mr. Saha, sorry, I just have to add something to what Ravi mentioned. If you recollect, in every quarter , we have been saying that Leela, our biggest differentiator is the luxury ecosystem.
We give as much importance to food and beverage experiences and dining programs as we do to the rest of our business. F&B is nearly 40% of our business, which has grown by 15% as Ravi

mentioned, and a very high percentage of non -resident footfalls across all our events and spaces and restaurants.
Dipak Saha : Got it . That's helpful. S ir, one last question , on the Dubai side, I know it's very early and dependent on lot of things beyond our control, but just from taking over that particular property, do we have any plans in terms of fast -forwarding or delaying , what's the status there in terms of taking it over and upgrading it to a Leela brand? Is there any change compared to where we were earlier?
Anuraag Bhatnagar: No change in our plans. Firstly, I'd like to just remind everyone that everyone is safe on the ground and our physical asset has not been impacted at all. It's also worth noting that we are a 25% shareholder there , and impact to our larger business plan is minimal. We are also fortunate to have a strong capital partner in Brookfield, who's the remaining 75% owner. So , none of our plans have been impacted because of these geopolitical events.
It's very hard to predict how these events will pan out in the future and what the recovery will look like, but one thing we are very clear about is that the new supply in Dubai is going to be very muted in the near and l

ong -term, which will eventually create a very positive fundamental in the long run.
I'm sure you have seen lot of headlines in the market regarding hotels shutting down in Dubai or refurbishments in the near -term and long -term. While our hotel continues to remain operational and we are focused on breaking even operationally at this stage, there could be an opportunity for us to take a larger market share when the market recovers.
Anyway, our plan is to start a refurbishment work ; this was our original plan as well , by the end of this calendar year, which we would then accelerate and reopen and launch the property in 2028 under The Leela brand. By this time, we are hopeful, I mean, we are talking of , like, significant 12 to 15 months from now , that we are hopeful that this market would have seen a recovery regarding residential sales, which was a part of our business plan. We had budgeted sufficient time to execute the sales over the next two , three years.
Dipak Saha : Got it. Thank you. That's really helpful and all the best for FY27. Thank you.
Moderator: Thank you. The next question comes from the line of Girish Choudhary from Avendus Spark. Please go ahead.
Girish Choudhary: Yes, hi, good evening . Thanks for the opportunity. Firstly , on Coorg, I mean, regarding your assumptions of INR 165 crores to INR 175 crores stabilized revenue s, when do you think this can be achieved in year one or year two? And as a follow -up, for the 19 villas , which are expected to come up, any capex number and when will that be spent?
Ravi Shankar: So, the INR 165 crores of revenue numbers includes the 19 villas that we had planned for Phase 1. This number will be achieved in the year four when those 19 villas will also come into play.
The capex that we have planned for those additional villas are around INR 38 crore s that we would spend to make those 19 villas.

Girish Choudhary: Okay, noted. And just on the occupancies, how should we look at for fiscal '27? The blended occupancies for the year fiscal '26 were 69%, so how should we see between your city properties and the resorts? For fiscal '26, we saw meaningful improvement in occupancy for resort properties, so how should we see for FY27?
Ravi Shankar: So, occupancy for FY27 will be in early 70s for sure. The city hotel will do in mid -70s and

resorts will be doing in mid-60s to late 60s.
Girish Choudhary: Got it. Thank you.
Moderator: Thank you. The next question comes from the line of Akash from Nomura Holdings. Please go ahead.
Akash: Yes, hi. Congratulations on great performance. Sir, just to run again on the 4Q FY26 numbers, I think this time room and F&B revenue numbers were not penned down in the PPT. Could we just get the exact room and F&B revenue for 4Q FY26 ; room , F&B, and HMA fees?
Ravi Shankar: So, maybe we can connect on a separate call to review deep dive numbers on the rooms and F&B and HMA . But what we had spoken earlier that rooms grew by, you know, for the quarter four by almost 6%, F&B grew by almost double -digit numbers, and HMA other income also grew by double -digit numbers.
Akash: Understood. And how much revenue would we get from the Coorg acquisition in FY27? What , kind of , top line are we seeing from that hotel specifically?
Ravi Shankar: So this will be our first operating year where we are right now working on the whole rebranding process , and will be doing the occupancy in early 40s for the first full year . We'll do somewhere around INR 65 crores to INR 70 crores will be the first year of revenue , and very healthy EBITDA margins we'll do , as we do in our Leela portfolio hotel s, which will be almost 50 - 55% (stabili zed) which we do for other resort hotels in our portfolio.
Akash: Understood. That's all the questions I have. Thank you.
Moderator: Th

ank you. The next question comes from the line of Abhay Khaitan from Axis Capital. Please go ahead.
Abhay Khaitan : Yes, thank you for the opportunity. So , firstly , on the 4Q performance, if you can help break the RevPAR growth of 6% into city hotels and resort hotels? And also, for April, as you mentioned that the growth is actually tracking for a single digit growth, so there also , are we seeing like a broad -based growth across city or resort , or is this one segment better than the other?
Ravi Shankar: So, if you talk about the occupancy, Abhay, we did an occupancy growth at quarter four, FY26 we were 72%, last year we did 78%, that was 6% , that was mainly because of the war impact. If the war cancellation would not have happened, we would have done similar occupancy or a little more than what we did for quarter four FY25. But if you look at the ADR, ADR grew by almost 15% from a INR 27,000 we went to INR 32,000. As a result, the RevPAR was 6% because of the occupancy drop.

Anuraag Bhatnagar: And the occupancy has dropped in our city hotels , which had a larger share of international business. So, I just want to reiterate that the only sub -segment of demand that got impacted because of the war was our international business from our key source markets.
But we see that dampening as we go forward and we see that not reflecting in the future pace of bookings. Our resorts were insulated and resorts continued to, like Ravi mentioned earlier, May and June , we see a very strong rebound happening in resorts and even in April we see - this compression getting offset even in our city hotel s.
Abhay Khaitan : Understood . That is very helpful. My second question is , again , follow -up on what you mentioned right now. So , given that if the international travellers are offset by higher domestic, do we see some risk to other revenues or the F&B revenues , and therefore , on the margin side , or do we expect that to remain same Y-o-Y?
Anuraag Bhatnagar: Not really. What we have seen over the last few years, or especially at The Leela, we can talk with confidence basis our last eight quarters, that our domestic travel lers travel as much, they stay as long. Whilst the international business has a larger, longer length of stay, because typically if you come from long -haul markets like the US, you would probably stay for 3.5 to four nights, where the average domestic trave ller would stay for two to 2.5 nights, but the spending on F&B, the spending on ancillary revenue is the same.
And, but going back, given the brand love and the recall that we have in international markets, Leela has always been voted as one of the finest luxury brands in the world consistently by the users and the customers. We expect when the international business s tarts coming back to its normal state, we'll be the first to pick up and bounce from there, which gives us another layer of opportunity.
Ravi Shankar: And also Abhay, if you see our non -resident covers, those are growing almost 12% Y-o-Y, that also helps in driving our F&B revenue even if you have a slightly lower international mix.
Abhay Khaitan : Great . That is very helpful. Thank you.
Moderator: Thank you. The next question comes from the line of Vaibhav Mule from Haitong India Securities. Please go ahead.
Vaibhav Mule: Hi, sir. Thanks for the opportunity , and congratulations on strong set of numbers, especially in a weak demand period. My first question was on our revenue growth. We reported RevPAR growth of 6% , while revenue has grown by 14% year -on-year. I just wanted to understand the

bridge between the room revenue growing by 6%, F&B growing by 9% to 10%, while HMA again is, as you said, would be in low double digits. So , have we seen additional delta coming in from Coorg resort , which is pretty significant ? And is ther

e also delta t hat's coming in from our commercial leased area in Bangalore property?

Ravi Shankar: We already explained the rationale for the increase in the double -digit numbers. If you look at the room revenue , growth has been impacted by 6% occupancy drag due to the war. F&B contributes around 40% of the total hotel revenue, which grew by double -digit numbers. We



have also seen the HMA fees grow double -digit in some of our managed properties based on our management contracts and ramp -up of recently opened hotel like Hyderabad.

Also , we have seen a strong growth in HMA fees in this quarter and expect this trajectory to continue. This is on the back of the ramp -up in our performance across several managed properties along with our ability to charge higher fees in some cases where we ha ve invested key money in the past.

Vaibhav Mule: Understood sir. And secondly on Dubai asset, for Palm Jumeirah Resort, since current environment is uncertain , and we have seen real estate prices plummeting in Dubai market itself, is there a possibility that we may have to take any write -offs on our investment in Dubai in the near-term if the situation persists for a longer period , is that a possibility?

Anuraag Bhatnagar: We are evaluating the situation, but we don't see any such possibility. And as we had said, that the basis , on which we had underwritten this asset in terms of our real estate pricing was very conservative, and it's too early for us to say how the situation will pan out and we'll evaluate it. We have a very, very strong asset management focus , and we'll keep everybody posted as the situation and the market evolves. We are evaluating the situation literally every day , and we'll block and tackle as required.

Vaibhav Mule: Understood , sir. And lastly on the weddings portion, did we see any benefit in March in terms of shift from some of the weddings , which were planned outside India, which got shifted into domestic leisure markets? And going forward in Q1 and Q2 as well, do you expect more traction coming in from weddings?

Ravi Shankar: So, yes, that's correct. There were some of the weddings that were booked in the Middle East, we were able to take three of such weddings in our hotels in the month of March, and there are queries also in the month of April and May for some of such weddings, which will also help to drive incremental revenue on the wedding segment.

Vaibhav Mule: Understood , sir. Thank you so much , and all the best.

Anuraag Bhatnagar: Thank you.

Moderator: Thank you. The next question comes from the line of Achal Kumar from HSBC Bank. Please go ahead.

Achal Kumar : Hi, thanks for the opportunity. First of all, I wanted to move away from revenue and just want to understand about the cost. So , basically in this Q4, I think most of the costs were quite inflated.…

Anuraag Bhatnagar: Sorry , Achal , you're not clear. Can you repeat that?

Moderator: Achal , please unmute your line in case if you are on mute. Since there is no response from the participant, we will move to the next participant, that is Karan Kamdar from Choice Institutional Equities. Please go ahead.



Karan Kamdar: Hello , sir. So , I had a question on the cost side only. Now , that we are facing some disruption in the Dubai property, are we expecting any cost overruns to impact margins , or will that not be a huge cost overrun for us?

Ravi Shankar: It will not be a huge any cost impact for us. Anyway, the operator who manages the hotel will continue to manage till end of this year, and our plan was that we'll get the handover on 1 January , 2027 and we'll refurb the hotel by end of that year and rebrand 1 January , 2028. The plan remains the same and there is no cost overrun on that front.

Ka

ran Kamdar: Okay, great. Sir, secondly, can you maybe detail out what plans we have for the ARQ franchise and what is our revenue model? Are we going for a membership model , and what are revenue expectations there for '27-'28 maybe?

Anuraag Bhatnagar: Thank you for that question. I mean, ARQ is really a great milestone achievement in our asset portfolio. We opened the first ARQ club in Leela Palace Bengaluru in the last financial year, which is FY26, and we are opening two ARQ clubs in this financial year, one in this quarter

itself in Leela Palace New Delhi and the second one in Chennai.
These are great members invite -only club and a very rarefied spaces , which create a compounding impact for the rest of our business , and gives us access to lifetime access to ultra -HNI and HNI customers. There is an initiation fee model for , which a member has to pay and membership is only by invite. So , they have to pay an initiation fee , and then there's a run -rate fee that they have to pay every year.
The memberships are currently either for 10 years or for lifetime. This is what we are doing for our founding members, and eventually as we grow, we'll also evaluate other membership models so that whilst we are being very, very relevant when it comes to the quality of the real estate and the privileges and programming, and then we can scale up to have the larger share of memberships there.
Karan Kamdar: Got it , sir. Any idea on what , kind of , number are you targeting, if not the revenue number, but what , kind of , membership number are you targeting?
Anuraag Bhatnagar: See, the current initiation fee is INR45 lakh plus GST. As I said, this is only through invite. We have a waiting list and a funnel of memberships across all the major metros. We are meeting them.
Our overall goal on stabilization once we have all the clubs open , and let me also tell you in addition to Bangalore , Chennai, and New Delhi, we are also looking for the ARQ club in Mumbai as well, and this has also come on the feedback of our guests . We are looking at an overall stabilized number of 2,000 members, because at that number we feel is the right fit where we can serve them, take care of them, and give them that kind of a luxury experience they have paid for.
Karan Kamdar: Got it , sir. Thank you so much , sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take the last question from Vinamra Hirawat from Jefferies Group. Please go ahead.
Vinamra Hirawat: Sir, c ongrats on a good quarter. Sir, depreciation …
Moderator: Vinamra , you are not audible now.
Vinamra Hirawat: Was 1.8% versus FY25 and '26 was block, whereas , last year this was 2.5%. Is there a reason for this , and do we see any spike in this going forward?
Ravi Shankar: So, our net debt to EBITDA is 1.6x as of FY26 , and we expect a similar net debt to EBITDA in the next year as well, and this would go down to a 1x and even a lower number as we move forward.
Vinamra Hirawat: Sorry sir, I was talking about depreciation, not net debt ?
Ravi Shankar: So, depreciation will almost INR100 crores will remain in the same line in the next two , three years. Only when we have the new hotels operating, then only the depreciation numbers will start to increase marginally.
Vinamra Hirawat: Okay, okay, got it. Thank you.
Moderator: Thank you. The next question comes from the line of Achal Kumar from HSBC Bank. Please go ahead.
Achal Kumar : Yes, hi. I'm sorry my line was disconnected. So , as I started, I wanted to understand about the cost. So , basically if I look at all the cost, all looks inflated. So , for example , employee cost, F&B cost, everything is as a percentage of revenue are significantly above the Q4 last year. So , what's the reason? Is it like only impact on March revenue had s

uch a big impact ?
And then going forward , are you thinking about taking any steps to cut down your cost to protect your margins? So that's my first question if you could please give a bit of a color and understanding on that.
Ravi Shankar: So, Achal , we have a very active asset management approach and cost management, a very efficient cost structure. Most of our costs have just grown by inflation. Only there have been cost increase in sales and marketing and sales commission for the obvious clear rea son. If you see the flow -through has been 60%, this is industry leading flow -through margin, even if you look at our EBITDA margin , we are operating at a 49% EBITDA margin, which is 167 bps better than same time last year full year.
If you look at all the cost, all the cost is a lower percentage to a GOR , except for sales and marketing and commissions , where obviously Expedia and Agoda started charging on a gross basis rather than net basis.
That was one of the main reasons, and obviously our share of GHA revenue also increased and some commission on the sales side , which has increased. Otherwise all other cost as a percentage of revenue is lower than what was last year.

Achal Kumar : But Ravi, I mean , if you see employee cost, in Q4 last year it was 15.9%, in Q4 this year it is 16.6%. Similarly , your other costs are up 70 bps. So I mean, not only the marketing cost, looks like all the costs have gone up. So that's where I wanted to understand what the reason for that ?
Ravi Shankar: I'll tell you in payroll , obviously , there has been impact of accrual for the new labour code where we have taken a impact on the both the leave encashment and gratuity, that has been a exceptional item in the payroll cost that has come in.
Other , we have added few employees for the new value drivers that we have added as a result of that cost . This year you will see our value drivers firing in full cylinders , and the revenue impact will come, but those people have already been hired for the simulations and the training piece.
If you exclude all that, our payroll cost has increased by only 8 % to 8 .5%.
Achal Kumar : So, should we expect these costs to go down as a percentage of revenue going forward?
Ravi Shankar: It should, it should.
Achal Kumar : Okay. My second question is about the about the net debt to EBITDA. Of course , you are at 1.6 , which looks very comfortable. Going forward, how do you see in FY27 , do you think it s stable, do you think it's going down further, or do you think because of the capex coming through , it could go up a bit? So what is your colour , any thoughts on that please?
Ravi Shankar: So, I'll tell you we , obviously , our debt will increase for the capex that we'll do for the pipeline asset, but since our EBITDA will increase, our net debt to EBITDA will remain in the similar levels of 1.6x , and moving forward it will come down to lower to 1.4 , and then come to closer to one. Obviously , if we do more acquisition then it would go a little higher, but once all these assets start generating EBITDA, it will come to a very comfortable level even below one.
Achal Kumar : Right, okay. And my last question is on your comment regarding the city hotel versus resorts. So, it would be great if you could give a bit of a colour in terms of performance ARRs and occupancy by different cities like Delhi, Bangalore and all, t hat will be very helpful please?
Ravi Shankar: So that , Achal, we can connect separately and we can give you the occupancy .
Achal Kumar : Sure, sure. Perfect, perfect. Thank you so much , Ravi.
Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question for today. For any further queries, please reach out to the investor relations team at Leela. Thank you for joining us. You may now disconnect your lines.
A

nuraag Bhatnagar: Thank you.
Ravi Shankar: Thank you.